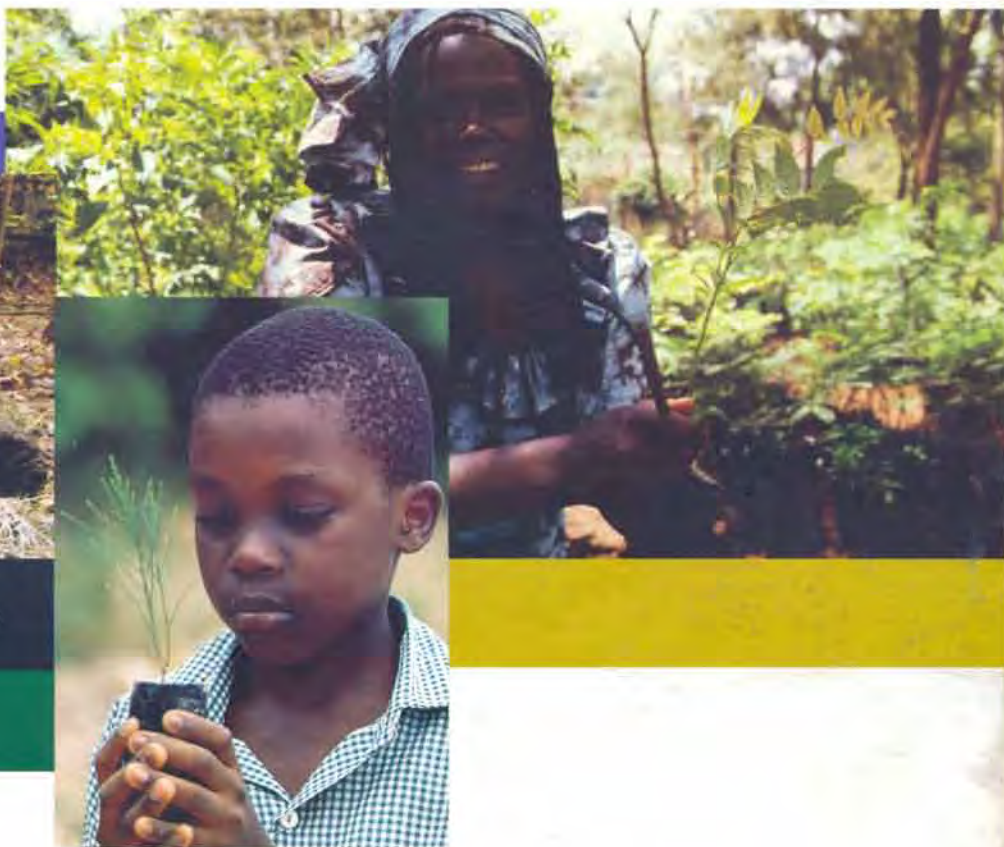


Kenja



DEDICATED TO ENVIRONMENTAL CONSERVATION



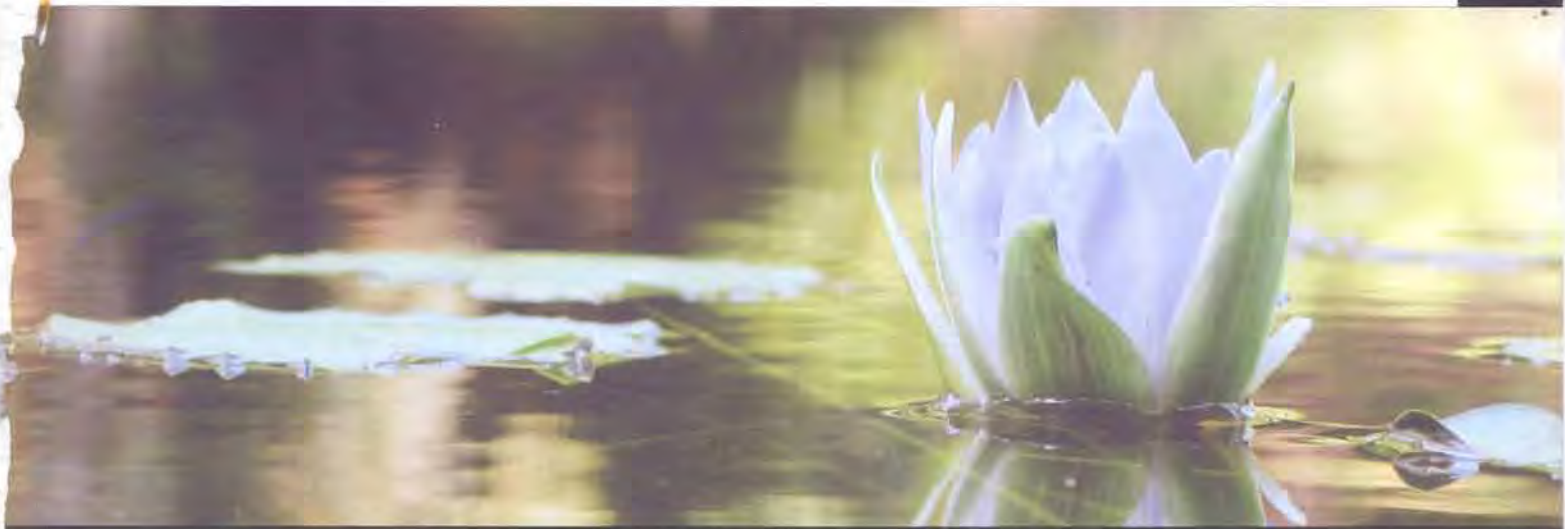
Bamburi
cement ltd

2004 ANNUAL REPORT & FINANCIAL STATEMENTS



DEDICATED TO ENVIRONMENTAL CONSERVATION

BAMBURI CEMENT LTD CONGRATULATES HON. PROFESSOR WANGARI MAATHAI ON WINNING THE NOBEL PEACE PRIZE FOR HER EFFORTS IN CONSERVING AND CAMPAIGNING FOR THE PROTECTION OF THE ENVIRONMENT. AT BAMBURI, THE REHABILITATION AND PROTECTION OF THE ENVIRONMENT IS AN INTEGRAL PART OF OUR OPERATIONS. WE ARE PROUD TO DRAW INSPIRATION FROM HER ACHIEVEMENTS. THIS ANNUAL REPORT IS DEDICATED TO THE CAUSE OF ENVIRONMENTAL CONSERVATION.



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PROXY FORM



VISION AND COMMITMENTS

OUR VISION

In a context of increasing globalisation and performance, Bamburi Cement Ltd reaffirms its values and its goal of becoming the undisputed leader in cement production and marketing in East and Central Africa.

OUR COMMITMENTS

For our customers, employees, communities and shareholders.

We aim to achieve world class standards and create sustainable value for all stakeholders by:

- Thinking of the customer first in everything we do.
- Delivering excellence in our industrial performance.
- Being the employer of choice in East Africa.
- Being recognised as a model for corporate governance and social responsibility.
- Delivering the value creation that our shareholders expect

OUR VALUES

Over the past few years, Lafarge has grown significantly. In a context of increasing globalization and performance, the Group reaffirms its values and its goal of becoming the undisputed world leader in building materials. This is the objective of the vision, the commitments and the "Lafarge Way", which is our management philosophy. We want the Lafarge brand to stand for our commitments to excellence.

THE LAFARGE WAY

Courage, integrity, commitment, consideration for others and an overriding concern for the Group's interest are the foundations of our management philosophy. Every employee is expected to demonstrate commitment to these values. This is our way to build trust at all levels of our organization.

MAKING OUR PEOPLE SUCCESSFUL

- Expecting people to give their best
- Leading by example
- Achieving greater results through teamwork

FOCUSING ON PERFORMANCE IMPROVEMENT

- Resulting from the actions of all
- Making performance a daily commitment
- Sharing systems and tools

WITH A "MULTI-LOCAL" ORGANIZATION

- Building on our local and global strengths
- Making our Business Units successful by leveraging the resources of a decentralized organization
- Sharing clear processes and a limited number of respected and known rules



*"If you can see a year ahead,
plant rice;*

*If you are looking twenty years
ahead, plant a tree;*

*If you are making
arrangements for a century
from now, start organising
people today."*

Chinese proverb



PRINCIPLES OF ACTION

STRATEGY

Operate and grow in attractive markets

- Lafarge focuses on cementious makets with good existing or prospective attractiveness in terms of growth and industry structure.
- Improve market attractiveness through Group networking, trading and/or vertical integration.

MARKETING AND SALES

We want to be the reference supplier for our customers: by supplying an innovative range of hydraulic binders and services recognised as superior by customers

- Understand our customer base, ensure the relevance of our products and assess the attractiveness of the different market segments.

- Conduct proactive research and product development which anticipates the evolution of relevant building materials and focus on the future needs of end users.
- Lead the market in product consistency, ease of use and usage qualities, positioning our brands for maximum effectiveness.
- Earn additional recognition from superior customer services including logistics.

- Confirm our leadership by active benchmarking and reacting faster than competitors to the industrial challenges of tomorrow.
- Drive the development and application of new technologies in our industry.
- Improve asset utilisation effectiveness by increasing investment yields and reducing working capital.

INDUSTRIAL

Assert our industrial leadership: set and achieve world class performance targets

- Maximise value through increasing margins with the right balance of high perceived value and low delivered cost.
- Resolve daily operational challenges with sustainable solutions.

SUSTAINABLE DEVELOPMENT

Be viewed as a good neighbour and an environmentally and socially responsible corporate entity

- Lead the industry in ever improving levels of safety.
- Work with our stakeholders to ensure that our business respects the public interest at both local and international level.





Botanical Garden Hotel

- Achieve the best possible balance between economic, environmental and social performances.
- Be proactive in addressing changes in the local and global social, economic and business environments.
- Conserve non-renewable natural resources.

PEOPLE MOBILISATION

Have a performance culture adapted to a changing environment

- Build a competitive advantage from the size and diversity of our Division and our Group, while developing an increasing sense of belonging.
- Develop the expertise and leaders to meet the

organisation's future needs through employee learning and development, innovation and knowledge management.

- Drive management process towards the empowerment of individuals and teams while maintaining accountability for rewarding results.



RICHARD KEMOLI | CHAIRMAN

CHAIRMAN'S MESSAGE

2004 was an exciting and challenging year for our business across East Africa. We had healthy growth and innovative ideas by management on profitability enhancement which were partly offset by external factors such as higher fuel and raw material costs.

In Kenya, GDP growth improved from 1.4% to 2.4% while interest rates remained low for most part of the year. The year ended on an optimistic note after the IMF approved the disbursement of funds, hopefully paving way for other development partners to follow suit. The cement market grew by 12% compared to 2003 on the back of these positive trends. These gains could however be threatened by controversy over the constitution, renewed donor stand-off and allegations of corruption in government. We however hope that the government will address these issues which should aid the economy, which is intrinsically linked to the health of the manufacturing industry.

Uganda's cement market witnessed a similarly healthy growth of 9% as the government continues to spend on infrastructure, education and health. GDP growth improved from 5.1% to 5.9%. The Uganda market was characterised by increased competition and logistical challenges hampering supply of product. We however took corrective actions that have borne fruits.

The Group posted good results in 2004 with a profit after tax of Kshs 1,718 million, an increase of 40% from 2003, in spite of tremendous increase in costs of certain items such as coal, transport and raw materials. This is attributable to management's cost control initiatives and a 22% increase in revenue with higher volumes and price

increase in Kenya to compensate for upward evolution of the cost base. A more stable market in Kenya enabled us to grow our market share to 57.4%, 0.6% above 2003. In Uganda, our market share dipped from 55% to 50% due to logistics and production challenges in addition to aggressive competitor activities. Actions have been taken in order to revert market share to acceptable levels. We however witnessed growth in exports from Uganda which doubled compared to 2003 after placing increased focus in Rwanda, Burundi and Eastern DRC. There was relative stability in the great lakes region during the year.

Our cash position remains healthy, even after high dividend payments of Kshs 2,738 million. Further, the business continues to improve in cash generation and working capital management.

In operations, we continued to be plagued by the long-standing power quality problems which adversely affected plant operations and contributed to increased maintenance costs. Efficiency enhancement efforts however led to increased production in all the plants. All locations equally suffered from higher costs of fuel, transport and some raw materials. This was driven by global factors such as higher freight rates and high world fuel prices.

As we push for better results, we continue to keep good Corporate Citizenship at the top of our agenda. During the year, we re-launched our environmental flagship, Baobab Farm Ltd, under a new name Lafarge Ecosystems Ltd. This is in line with our objective of being a reference point on environmental matters world-wide. In addition, the National Environmental Management Authorities of both Kenya and Uganda recognised us for contribution to environmental management. We continue to work closely with all stakeholders on environmental matters in both countries. We are progressing well on initiatives such as Green Schools and partnership with WWF, Kenya Wildlife service, Forestry Department, National Museums of Kenya and our local communities. Bamburi continues with its post-retrenchment support programme and shilling to shilling fund which is used to assist charities as recommended by staff. In response to His Excellency the president's appeal, we joined other Kenyan's in the fight against famine with a donation of Kshs 5million. We also continue to compliment government and donor efforts in

the health sector, especially in combating the HIV/AIDS scourge.

Safety continues to be a key pillar for our Group internationally and we are committed to ensuring the physical well-being of our employees and partners. To this end, we set up prompt and adequate response systems in case of accidents or emergencies and increased momentum on safety initiatives involving our key business partners. This includes sponsoring training sessions and consistent safety campaigns.

On Corporate governance, the Group consolidated existing structures and made a major push during the year to comply with requirements of the now famous Sarbanes Oxley Act. This should result in enhanced business process efficiency, increased accountability, better corporate governance and provision of controls improvement framework.

Going forward, we are ready to seize opportunities presented by the new regional groupings such as the East African Community while addressing challenges posed by the same. We are pleased with the recent Southern Sudan and Somali peace deals and anticipate benefiting from the same in the medium term. We are confident about the future of the East African economies and, based on this, we are in the initial stages of plans to increase capacity in this region. This should ensure that the Group keeps on track to achieving its vision of being the undisputed cement producing and marketing company in East Africa.

The results of the past financial year are a measure of the commitment and dedication of all our staff. I express my appreciation and congratulations to management and staff for their achievement. I also wish to thank the board of directors for the value they have added to the Group.

We now look forward to an even better 2005!

RICHARD KEMOLI

CHAIRMAN



Bamburi Cement Limited Board Members

Seated left to right: E Leo, D Njoroge, T Hadley, R Kemoli, D Tresarrieu.

Standing left to right: C Groom, Amb. S Karanja, N Mogere, M Ngunze, JC Hillenmeyer, C Kisire.

AUDIT COMMITTEE MEMBERS

JEAN CLAUDE HILLENMEYER

Mr Hillenmeyer is a graduate engineer from Ecole Centrale des Arts et Manufactures, Paris and holds an MBA from "Institut d'Administration des Entreprises".

He is the acting Chairman of the Audit Committee. He has held several positions in the Lafarge group both in France and internationally before retiring in August 1999 and is currently an independent consultant. He has 36 years of experience in the cement industry which has been very valuable to Bamburi Cement Limited as it goes through change.

CHRIS KISIRE

Mr Kisire is a holder of a Bachelor of Commerce, Accounting major and a Masters of Business Administration degree from the University of Nairobi. He also holds a Certified Public Accountant of Kenya, CPA (K) qualification. He is a member of the Institute of Certified Public Accountants of Kenya (ICPAK).

Mr Kisire was appointed to the Board on 1 October 2004. He is currently the Group Finance Director of The Standard Group Limited. He has worked for more than ten years in the finance field both locally and internationally (Zimbabwe and United Kingdom).

NAFTALI MOGERE

Mr Mogere is a holder of a Bachelor of Commerce, Accounting major, a Certified Public Accountant and a Certified Public Secretary. He is a member of Kenya Institute of Management (KIM) and member of British Institute of Management (BIM). He has also attended several managerial and finance related courses both locally and internationally.

He is currently the Managing Trustee of the National Social Security Fund, the largest pension fund in the country and is responsible for the overall management and policy direction of the fund. He has several years experience in the finance field in the insurance and banking industries.

EXECUTIVE DIRECTORS

DIDIER TRESARRIEU – MANAGING DIRECTOR – BAMBURI CEMENT LTD

Mr Tresarrieu holds a master's degree in private and public law, from Institut d'Etudes Politiques de Paris. He has been the managing director since 2000 and is in charge of the Group's operations. He has a wealth of experience in the cement industry spanning over 17 years.

MBUVI NGUNZE – MANAGING DIRECTOR – HIMA CEMENT LIMITED

Mr Ngunze is a holder of a Bachelor of Commerce degree, Accounting major and is a Chartered Accountant from the Institute of Chartered Accountants England and Wales. Mr Ngunze joined Bamburi group in 1998 as Finance Manager, and was promoted to the position of Finance Director in 1999. In 2002, he took up his current position as MD – Hima. He has experience from the field of auditing and consulting in his previous job, and has been significantly involved in the strategic evolution of the business.

In 2000, Mr Ngunze attended a 3 month Executive Development Program at Harvard Business School, and has also attended a number of Lafarge leadership development programs including the Program for International Leadership at INSEAD, France, one of Europe's leading business schools.

DAVID NJOROGI – FINANCE DIRECTOR

Mr Njoroge is a holder of a Bachelor of Commerce degree, Accounting major and is a Certified Public Accountant. He has attended managerial, financial and leadership related courses both locally and internationally including sessions in INSEAD.

He joined the company in 1999 as Finance Manager a position he held until 2002 when he was promoted to Group Finance Director. He oversees the finance, information systems (IS) and legal functions in the Group.

He is also a director at the Nairobi Stock Exchange where he chairs the finance committee. He has several years experience in finance and control.

OTHER NON EXECUTIVE DIRECTORS

RICHARD KEMOLI

Mr Kemoli holds a Bachelor of Science degree, Economics from Makerere University, Kampala and a Diploma in Management Studies, Regent Street Polytechnic (now University of Westminster, London).

He is the Chairman of the Bamburi Cement Limited Board of Directors. He has 33 years experience with Commonwealth Development Corporations – East Africa Region and is a director in several companies.

ANTONY HADLEY

Mr Hadley is the Regional President LAFARGE Africa. He is a Mechanical Engineer who graduated from London's Imperial College in 1980. For 18 years, Tony worked in the oil industry for Schlumberger in many roles, living and working in North and South America, Europe and Africa.

In 1999, he joined Blue Circle Industries in the U.K. with responsibility for Africa. Following the acquisition of Blue Circle by Lafarge in 2001, Tony was appointed as Regional President for Lafarge (Africa Operations). Lafarge has cement manufacturing operations in Nigeria, Benin, Cameroon, Kenya, Uganda, Tanzania, Zimbabwe, Zambia, Malawi and South Africa.

ELMOR LEO

Mr Leo holds a Bachelor of Commerce degree from the University of Pretoria and a Masters of Business Administration degree from the same university.

He is the Managing Director of Lafarge South East Africa. He has served in various positions within the Group and has experience spanning over 20 years in the cement industry.

AMB. SOLOMON W KARANJA

Ambassador Karanja is a BA graduate of Makerere University and holds an MA from University of London.

He has worked as a Deputy to the University of East Africa, Registrar, and was the first Kenyan University of Nairobi, Registrar. Subsequently he held the position of Executive Chairman, East Africa Portland Cement Company for twelve years after which he was appointed Executive Chairman National Bank of Kenya in 1987.

He has served as Chairman Kenya Golf Union and Muthaiga Golf Club as well as a Director Muthaiga Country Club and Chairman Fidelity Shield Insurance Company.

He has served on a number of Government appointed commissions into the affairs of the university and is currently on the University Inspection Board recently set up by the President to review the operations of the public and private universities in Kenya.



MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

BAMBURI CEMENT LTD

ECONOMY

The country's economic recovery appears to be on track, a development that should be aided by the granting of access to international financial support in December by the IMF. Kenya recorded an improvement in GDP growth from 1.8% in 2003 to 2.4% in 2004. However, this was lower than the government's projection of 2.8%. This promising trend is however threatened by

recent allegations of corruption in government, which puts further disbursement of aid at risk.

Average lending rates stood at 13% (2003: 16.6%) while overall inflation was at 11.6% (2003: 9%). The inflationary pressure was caused by rise in food prices following the early season drought and the spike in oil prices. The low interest rate regime, which prevailed for the larger part of 2004, and availability of mortgage finance were key drivers in boosting

construction activity in the economy.

The Shilling depreciated against the dollar and euro by 4% and 14.6% respectively compared to 2003. However, the shilling rallied back to under the Ksh80:USD1 barrier towards the end of the year on the back of higher interest rates and ongoing strength of foreign exchange reserves.

MARKET

We had a strong domestic market growth of 12% (2003: 9%), mostly due to increased private construction activity. The market remained stable and there were no imports. As a result our market share grew by 0.6% to 57.4%.

SALES

Our sales revenue increased by 21% compared to 2003 in line with market growth, implementation of price increases to compensate for upward evolution of costs and lower levels of discounting on the back of a more stable market. We also had a favourable impact from sales mix with ratio of clinker sales being 4% lower than 2003. These were partly offset by lower cement exports on account of production and logistics challenges. Clinker sales to both the domestic and export markets were in line with 2003.

Our brands "Nguvu" and "Powerplus" are now well positioned in the market with customers accustomed to our application based naming rather than the traditional description based on ingredients. We continued to run Masons training programs, one of the main focus areas in our marketing strategy. We made significant steps in improving customer knowledge through our performance tool "Advance". We successfully completed market surveys and are analysing results in order to come up with appropriate strategies to satisfy our customers and make better value propositions. This continues to be a key performance improvement area going forward.

The Building Information Centre (BIC), launched in 2002, has grown with membership standing at 781 as at end of 2004. Its website www.bamburihomebuilding.com is due to be formally launched in early 2005. The award winning centre, which is part of our product development division, provides a one-stop construction information shop for our homebuilders, engineers and contractors. Further, we continue focusing on concrete roads and low cost housing initiatives in close co-ordination with relevant authorities. We are also working closely with investors and standards bureau to introduce concrete poles for electricity transmission as an environmental friendly and sustainable alternative to timber poles. Progress on public sector infrastructure projects has been slow. This is due to lengthy and bureaucratic procedures that need to be observed. We are however optimistic that these hurdles will be addressed and progress made in this area, which we believe holds the key to the future growth of our industry in the region.

OPERATIONS

MOMBASA PLANT

The plant experienced difficult operating conditions in 2004 brought about by power disruptions (89 disruptions) as well as some unexpected breakdowns. However, cement and clinker production increased in line with higher market demand. Improvement activities also led to overall reduction in power consumption, particularly after repairs to one of the cement

GROUP TURNOVER

Kshs million



EAST AFRICA SALES VOLUME

Thousand tons



OPERATING INCOME

Kshs million



PROFIT ATTRIBUTABLE TO SHAREHOLDERS

Kshs million

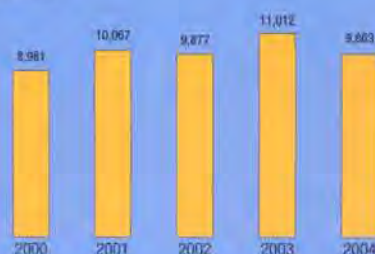


EARNING/DIVIDENDS PER SHARE

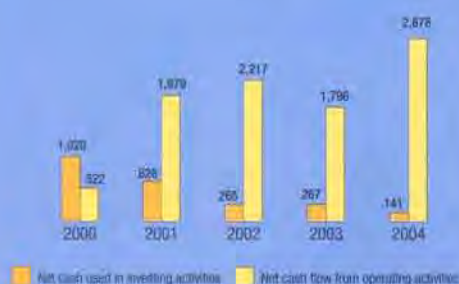
Kshs per share

**SHAREHOLDERS EQUITY**

Kshs million

**INVESTMENTS AND NET CASHFLOWS FROM OPERATING ACTIVITIES**

Kshs million

**EXPORT SALES**

Thousand tons



mills. The unexpected breakdowns and power disruptions led to higher maintenance costs compared to 2003. Our operations were also significantly affected by higher prices of raw materials, fuel, transport and power resulting in higher variable costs.

We continue to make investments aimed at efficiency improvement and cost reduction. Our key projects in 2004 were aimed at improving reliability, water supply and automation. We have also intensified team mobilisation activities in order to enhance empowerment and get the most out of our people.

NAIROBI GRINDING PLANT

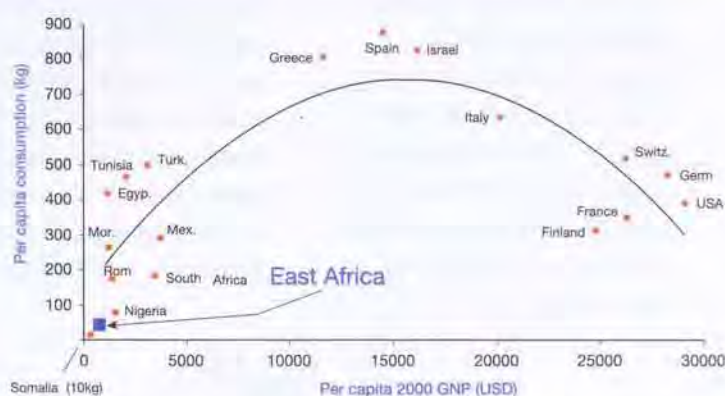
Cement production improved by 5% in line with market improvement. This growth was restricted by lower exports to Uganda. Significant improvements were noted in some operating indicators, especially power consumption and mill output after we optimised mill operations. A decline in the number of power disruptions was noted (2004: 67, 2003:106) but the situation continues to be unsatisfactory. As was the case in Mombasa higher transport rates and increased power prices led to a higher manufacturing cost base.

SAFETY

The Nairobi Grinding Plant (NGP) achieved 1,500 days without a Lost Time Accident (LTA) while Mombasa achieved 392 days, an improvement from 2003. We however had contractor and third party fatalities arising from road accidents. We continue to keep safety as a top priority while placing special focus on near-misses and are keen to operate at world class levels. We are also giving added momentum to our road safety campaign.

OUTLOOK

Real GDP is projected to accelerate slightly to between 2.8% and 3.3% in 2005 and get better thereafter owing to ongoing pick-up in the disbursement of donor funds and economic activity, especially agriculture and tourism. This progress will however depend on how the government handles the anti-corruption crusade, constitutional review, relations with the major bilateral and multilateral partners and the weak public spending management in addition to weather conditions. All these have the potential of slowing down the projected growth. Inflation is estimated to decline while the shilling is expected to remain fairly stable, bolstered by engagement



of the IMF and the international weakness of the USD. Monetary policy is expected to remain geared towards keeping underlying inflation below the official target of 5% and maintaining exchange rate stability.

Growth of cement demand is tied to the revival of the economy. Consumption in Kenya as in the rest of East Africa is very low as evidenced by the need for decent housing and roads. Implementation of actions in this area has been very slow. We hope the government will accelerate progress as the potential for growth is big, as is the impact on the well-being of Kenyans. The graph on page 12 shows the consumption of cement per capita in East Africa compared to other economies in the world.

The recent signing of the East African Customs protocols has opened new markets. We are ready to exploit opportunities presented by the union while addressing the challenges that come with it. We are concerned about the playing field posed by uneven costs of production in competing countries within the COMESA bloc and globally. In this regard, we continue to work with relevant authorities to address disadvantages faced by Kenyan manufacturers. These include poor infrastructure e.g. transport, telecommunications and high cost/poor quality of power. We are also pursuing initiatives to reduce costs through purchasing actions, improvement of plant reliability, optimisation of energy usage and so on. Other challenges as we move forward include logistics optimisation to ensure product availability in the market.

HIMA CEMENT LIMITED

ECONOMY

GDP grew by 5.9% compared to 5.1% in 2003, with transport and communications, construction and the agriculture sectors being the main drivers.

The economy is still largely dependant on donor funding, with close to 50% of government spending being sourced from donors. Inflation remained in line with last year, while interest rates were unstable, fluctuating between 15% - 24% per annum during the year.

The Uganda shilling appreciated against the US dollar by 8% versus last year due to strong intervention by the Bank of Uganda to reduce volatility experienced in the previous year, the weakness of the US dollar, and high donor inflows especially on HIV/AIDS related programs.

MARKET

The domestic market, at an estimate 691Kt, grew by 9.2% compared to 2003 with sustained government and donor funded spending on infrastructure and education coupled with favourable weather conditions.

Regionally the Eastern Democratic Republic of Congo region has been relatively calm while Burundi has shown positive signs after the new peace agreement signed late last year. The recent signing of the final peace protocols between the government of Sudan and SPLM in Nairobi paves way for peace in Southern Sudan. We may not

FINANCE COSTS

Ksha million



feel the immediate impact of this peace deal but anticipate significant requirement for supplies for infrastructure in the medium term.

DOMESTIC SALES

In spite of the market growth, our group domestic volumes remained stable because of the following reasons:

- Logistics challenges related to supplies sourced ex-Kenya posed by new transport regulations and competing loads, especially relief food.
- Production challenges at Kasese, mainly on account of poor power quality, and equipment reliability.

In spite of the above challenges, Hima brand sales volumes were 17% higher compared to 2003 on account of the full year benefit of the investment in capacity increase in 2003. However, Bamburi brand volumes were 23% lower than 2003 for the reasons listed above.

Overall, Group market share stood at an estimated 50%, which was 5% lower than 2003. We have implemented corrective actions to

address each of the above issues, and to manage the challenge posed by increased competitor activity in our traditional markets.

Our migration to user based brand names ("Multipurpose", "Rapidset", "Supaset" and "Powerplus"), introduced in 2003, was successful. These brands are now well entrenched in the market. We continue to focus on the masons training programme as it is one of the cornerstones of our marketing strategy.

EXPORTS

Export volumes doubled in 2004 compared to 2003 with a greater level of stability in the Great lakes region, and our improved focus on these markets which include Rwanda, Goma, Bukavu, Beni/ Butembo and Burundi.

PRICES

Hima domestic ex-factory prices were lower in real terms by 4% for the following reasons:

- Increased competitive pressure particularly on our traditional western Uganda market, which

required us to defend our position leading to price attrition.

- Regional mix – we placed higher volumes relative to 2003 in the lower realisation eastern Uganda market.
- Our cost of transport both for the primary flow from our plant in Kasese to the central market, and secondary flows went up significantly following the implementation of axle load restrictions on the Kampala - Mbarara route beginning October 2003. Transport rates increased by about 38%.

Export prices (in local currency) were adversely affected by a stronger Uganda shilling relative to the US dollar, which is the currency of sale, and the regional mix of sales. The proportion of sales to lower realisation markets such as Burundi was higher in 2004.

PRODUCTION

The increase in plant capacity resulted in a 29% improvement in cement production compared to 2003. As mentioned previously, we had the full year benefit from the investment made in 2003 on close



circuit milling, which increased our additive ratio for our main product to an average 30%.

Poor quality and consistency of power supply is a continuous challenge to stable plant operations. In total, we had 301 hours of downtime resulting from a variety of reasons such as power disruptions, power sub-station upgrading, and transformer failures. We also experienced load shedding in the latter part of the year in addition to incident stoppages. This situation led to higher than anticipated Kiln heat consumption which offset the positive impact of our efforts to cut down on overall fuel consumption. We however made significant gains on alternative fuels with an increase in level of usage reducing our overall US\$/GJ cost, despite increases in international crude oil prices.

SAFETY

We continue to keep Health and Safety as leading priorities in our day to day business. Our aim is to improve and consolidate our safety actions with special focus on near-miss reporting and analysis. We have also made positive strides in challenging our contractors and road transport service providers to adopt our safety philosophy. Despite having achieved 939 consecutive days without a lost time accident, we had an unfortunate incident in the plant that resulted in the death of one of our staff members in May 2004. The police investigation that followed concluded that this was an accident.

OUTLOOK

We anticipate domestic market demand to remain strong with continued government and donor funding for infrastructure projects and favourable weather conditions. This growth is however hinged on resolution of the conflict in the north, which has the potential to redirect government spending.

Our main challenge is to stabilise product supplies from Kenya while maintaining good plant runs in order to secure our 2005 ambitions. We will have to manage this on the back of the likely impact of capacity expansion by our competitors. Growth in exports will remain a focus area but peace in the Congo region will remain a key factor to success in export markets.

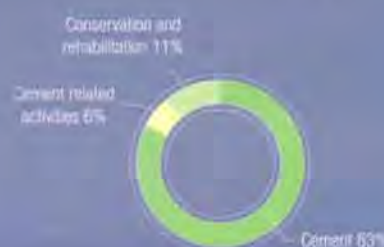
We do not expect significant depreciation of the Uganda shilling in 2005 as evidenced by trend in the first two months of 2005.

Overall, with the benefit of a stronger commercial organisation and efficiency improvements at the plant, we expect to keep our leadership position in Uganda and its hinterland.

SALES BY REGION



EMPLOYEES BY BUSINESS AREA



EAST AFRICA MARKET SHARE





GROUP HUMAN RESOURCES

Our human resource function has evolved over the years from one that focused on Personnel, Administration and Discipline, (where the department was mostly policing the implementation of the various administrative policies), to one that now focuses on Career Management, Performance Management, Compensation and Benefits Management, Organizational Development, Succession and Manpower planning, Training and Communication.

The Groups staff complexion has also evolved with the integration of newcomers to a level where at least 40% of our employees were not in the company 5 years ago. Additionally, we are building, with some success, an export of talent to our other Lafarge organisations.

Our ambition is to build a more efficient and vibrant organisation. To achieve this ambition our human resource priority will be focused on modernising our communication management systems and entrenching a performance culture through people development.





BAMBURI SPECIAL PRODUCTS (BSP) LIMITED

This subsidiary manufactures paving blocks under the brand name 'Bamburi Blox'. The company, which has respectable market share and reputation, posted a 22.5% increase in sales of paving blocks with a corresponding increase in Earnings Before Interest and Tax (EBIT) of more than threefold. The demand for its products has increased significantly but price-based competition has also gone up. We are focused on enhancing BSP's performance while pursuing new uses of cement with various stakeholders.

LAFARGE ECOSYSTEMS

During the year, this subsidiary underwent a formal name change from Baobab Farm Limited to Lafarge Ecosystems Ltd. This is in line with the drive to make the company focus on its strategic objective of providing our group with environmental management direction. Its flagship continues to be the world famous Haller Park. The recent restructuring is beginning to bear fruits in terms of impact of its activities and financial stability. Our aim is to maintain the company as a focal point within Lafarge on environmental management matters.



GROUP FINANCIAL RESULTS

GROUP RESULTS

Sales revenue for the group grew by 18% on the back of market growth and price increase in Kenya, which was necessary to offset the impact of increased costs. The 0.6% improvement in Kenya's market share also had a positive impact on revenues. This was offset by the impact of lower market share due to aggressive competition and logistics constraints as explained above.

2004 witnessed significant increase in raw material, transport and fuel prices in both countries. For example the price of coal increased by 83% - coal accounts for 99% of our fuel needs at Mombasa plant. These were partly offset by lower power tariffs in Uganda and lower fuel heat cost as a result of operations optimisation at Kasese plant.

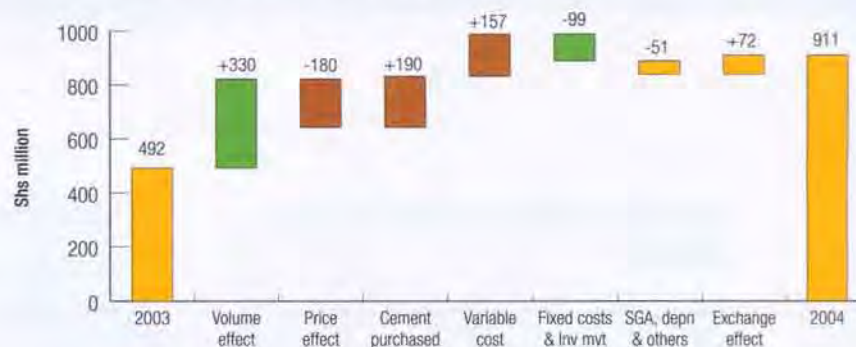
Operating profit improved by 48.5% in spite of these challenges and poor plant operating conditions. This is because of cost control initiatives, lower levels of restructuring costs and provisions in addition to reduced depreciation charge. Restructuring costs were Kshs 102 million lower in 2004 compared to 2003 while bad debt provisions were Kshs 79 million lower in Kenya due to allowance for costs relating to the failed attempt to sell to Sudan made in 2003. Disposal of company houses also had a positive impact of Kshs 65 million on the results.

The graphs on this page show the evolution of operating profit for Bamburi and Hima from 2003 to 2004.

OPERATING PROFIT EVOLUTION - BAMBURI



OPERATING PROFIT EVOLUTION - HIMA



FINANCING

The group is now benefiting from greater focus on working capital and treasury management as we turn into a net finance income position. This reflects improved cash generation in the business with Kenya remaining in a net cash

position while Uganda witnessed significant reduction in net borrowings from Kshs 290million to Kshs 27million. The closing cash position was however impacted by the higher level of dividend payments during the year.

Kshs million	Group		Company	
	2004	2003	2004	2003
Cash balances net of short term borrowings	632	849	638	1,134

CASH FLOW - CONSOLIDATED

Kshs million	2004	2003
Cash at the beginning of the year	849	659
Cash from operations before tax	3,761	2,823
Net interest paid	(35)	(77)
Taxes paid	(847)	(950)
Investing activities:		
ARM shares sale	56	25
Purchase of fixed assets net of sales	(205)	(307)
Financing:		
Dividend received	7	15
Dividends to Bamburi shareholders	(2,738)	(1,270)
Dividend to minority interests in Hima	(165)	(84)
Loan repayments	0	(4)
Effects of exchange rate changes	(51)	19
Cash at the end of the year	632	849

Group earnings per share and dividends per share made marked improvement from Kshs 2.20 and Kshs 2.94 to Kshs 6.12 and Kshs 4.73 respectively.

AWARDS

The company received several awards last year in recognition for achievement in various aspects. These include:

- Financial Reporting Excellence (FiRe) awards:
 - Winner in Corporate Social responsibility (CSR) category
 - Runner up in the Manufacturing category
 - Runner up in the Non-Financial category
- Recognition as "distinguished taxpayer" by the Kenya Revenue Authority
- Runners up in the manufacturing category in the East Africa "Most Respected Company awards"
- Recognition by the Uganda National Environmental Management Agency (NEMA) for "exemplary contribution to environmental management"
- Federation of Uganda Employers, employer of the year award 2004
 - "Human resource function and policies"
- Uganda National Bureau of Standards recognition for "demonstrated commitment to the production of quality goods that meet Uganda National Bureau of Standards requirements"
- Uganda Manufacturers Association award for being the best exhibitor in non-metallic products (12th Uganda International Trade Fair 2004)
- Award from the Kenya National Environmental Management Authority for "achievement in environmental excellence".



CORPORATE GOVERNANCE AND SOCIAL RESPONSIBILITY

INTRODUCTION

Our Board and Executive committee are committed to ensuring that our business is run according to the highest standards of corporate governance. The role of the Board is to assist in determining the Group direction and strategy, monitor the achievement of business objectives, ensure the Group meets its responsibilities to its shareholders and that the control environment adequately protects the Group's assets against major risks it faces. The directors are responsible for maintaining the Group's systems of internal control. These controls are designed both to safeguard the Group's assets and ensure the reliability of financial information used within the business and for publication. As with any such systems, controls can only provide reasonable and not absolute assurance against material misstatement or loss. The key features of the governance structure and processes and the internal financial control systems, which operated satisfactorily throughout the period covered by the financial statements, are described below.

CORPORATE GOVERNANCE

BOARD OF DIRECTORS

The Board comprises ten directors, three of whom are executive directors while seven are non-executive. Among the non-executive directors, three of them are independent directors. In addition, to seeking a fair balance between executive and non-executive directors, the appointment of board members also takes cognisance of the need for a good mix of skills, experience and competencies required in the various fields of expertise, for effective management of the group's business.

The board meets at least once every quarter. It has four standing committees, as discussed below, which also meet at least four times a year.

AUDIT COMMITTEE

The audit committee plays the key role of reinforcing best practice in corporate governance particularly in the areas of internal controls and risk management. Its main duties are:

- to ensure that the systems of internal control are soundly conceived and effectively administered and seek assurance that effective control systems are in place and are regularly monitored;
- to define responsibilities of the internal control function;
- to review financial statements and interim results;
- discussing the mandate and reviewing the findings of internal and external auditors.

NOMINATION AND REMUNERATION COMMITTEE

This committee is responsible for appraising the performance of senior management staff, including the Chief Executive, continuous review and rationalisation of human resources policies, and advising the Board on matters relating to remuneration for senior management and board members. It is also responsible for the

appointment of directors to the board.

ASSET DISPOSALS COMMITTEE

The committee is responsible for the disposal of the Group's non-operating assets. It is charged with ensuring that the process of disposal is fair, professional and efficient as instructed by the board.

EXECUTIVE COMMITTEE

The Managing Director chairs an East African Executive management committee, which comprises the executive directors and certain other senior executives. The committee meets at least once a month on average and its mandate is to deal with operational issues, and to improve communication and co-ordination through the various companies in the group.

Corporate responsibility involves the search for an effective "fit" between businesses and the societies in which they operate. The notion of "fit" recognises the mutual dependence of business and society - a business sector cannot prosper if the society in which it operates is failing and a failing business sector inevitably detracts from general well-being.

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT



PLANNING AND CONTROL

There is a comprehensive management cycle system that includes the long-term strategic plan, medium term performance improvement plan and the budgets. The strategic plan gives the group long-term direction while the performance plan enables management to focus on key actions to achieve our strategy. The budget or annual business plan is approved by the Board in December each year and must be consistent with the strategic and performance plan. At every board meeting, management accounts containing actual versus budgeted results and revised forecasts for the year are reviewed by the Board. These monthly management accounts analyse and explain variances against plan and report on key financial indicators.

There is a clearly defined organisational structure within which individual responsibilities are identified in relation to internal controls. The structure is complemented by policies, and management operate the business in compliance with these policies. The policies include guidelines for authorisation and approval of revenue and capital expenditure.

The group has defined procedures and controls, including information systems controls, to ensure the reporting of complete and accurate accounting information. These cover systems for obtaining authority for major transactions and for ensuring compliance with laws and regulations that have significant financial implications. Procedures

are also in place to ensure that assets are subject to proper physical controls and that the business remains appropriately structured to ensure adequate segregation of duties.

During the year, the group commenced the implementation of the requirements of the United States Sarbanes Oxley Act. Being part of an international Group that is quoted on the New York Stock Exchange, we are obliged to implement the requirements of this Act. The key highlights of this project are:

- Documentation and flow-charting of business processes and controls around these processes. This stage deals with the process and design effectiveness
- Testing of the controls Internally (by both the EA internal audit as well as Lafarge audit teams) followed by external testing by our external auditors. This stage deals with operating effectiveness
- Overall internal controls assessment

The main benefits to be gained from this project include:

- Improving efficiency of business processes through implementation of common internal control standards and sharing best practices.
- Increasing accountability of management with regard to internal controls and improving

the internal control culture throughout the Group.

- Enhancing corporate governance principles and risk assessment and management process.
- Providing a framework for continuous assessment and improvement of the internal controls within the group.

The directors believe the company and the group have adequate resources to continue in operational existence for the foreseeable future. For this reason, they continue to adopt the going concern basis in preparing the financial statements. A statement of directors' responsibilities in relation to the financial statements is set out on page 35.

We have also fully adopted International Financial Reporting Standards (IFRS) in line with the requirements of the Institute of Certified Public Accountants of Kenya. This should enhance the readership and understanding of published accounts for shareholders and other users.

CORPORATE SOCIAL RESPONSIBILITY

We are committed to ensuring that our group operates with the highest standards of professionalism - pursuing our strategy for sustainable profitable growth while showing awareness of environmental and stakeholder issues. Our vision on sustainable development is to be seen as a good neighbour and an environmentally and socially responsible corporate entity. This includes ensuring that our business respects the public interest at the local level. Our initiatives on quarry

rehabilitation and reforestation, either directly or in partnership with WWF East Africa, has been publicly acknowledged. Progress in this area is illustrated elsewhere in this report. Social responsibility is another of our key initiatives, which is not as well known. As an illustration we have dedicated key management resources in each of our units to community, safety and environmental issues.

This means that apart from looking after our staff in terms of paying

competitive salaries and wages, as well as giving them every opportunity to contribute and develop their talents in a conducive and challenging work environment, and delivering an equitable return to our shareholders, we make a deliberate effort to contribute towards building a better world for communities around us in education, health and in environmental protection, amongst others.

SAFETY

Our group internationally is committed to ensuring the physical well being of its employees and of other personnel working within the Group's facilities. It is our policy to ensure that facilities are operated, maintained and wherever necessary, modified to provide a safe working environment. Adequate safety rules, procedures, instructions and training in the application of safety rules and procedures are provided. We ensure that our employees and all other personnel within our facilities are provided with suitable and effective personal protective equipment.

We have set up a prompt and adequate response system in case of accidents or emergencies while ensuring that accidents or incidents are reported, investigated and appropriate corrective measures taken to avoid recurrence. Safety considerations are integrated into business decision-making and job planning at all levels.

We demonstrate commitment to safety by fostering open and effective communication with all employees and other interested parties and by ranking safety with other key business objectives. We want to inculcate a culture of safety

consciousness not only in our group but also in the environment in which we operate. During the year, we continued with our campaign on road traffic safety with the aim of eliminating accidents involving contracted transport of our raw materials and finished products. We are continuously training our transporters on the need to comply with safety procedures on our roads. In order to assure compliance with the Highway Code, we:

- Ensure that all accidents involving transporters are reported, investigations are conducted, and action plans to



prevent recurrence are created and implemented in conjunction with the transporters.

- Once a month, the Group Safety Coordinator conducts a safety tour along the Mombasa-Nairobi Highway in Kenya while the logistics team at Kampala office conducts similar tours along the Kampala – Mbarara road in order to monitor the behavior of trucks and truck drivers. Any incidents of misbehavior are picked up and appropriate remedial measures taken.
- Prior to beginning any "non-routine" transportation such as hauling of coal, iron ore, and bauxite from Mbaraki wharf to Bamburi, all drivers and supervisors of the contractor are taken through an induction exercise to remind them of their responsibilities under the Highway Code and conduct a risk assessment of the job at hand.
- Weekly "toolbox talks" are held with truck drivers, operators, turn boys, and supervisors to

address safety matters and review any incidents.

- Any new driver hired by a contracted transporter in Kenya must undergo a driving test that is conducted by an approved, independent organisation. This procedure will be launched in Uganda in 2005.
- In Kenya we sponsor AA Defensive Driving training for representatives of all of our contracted transporters. These trained drivers are then used by each of our transporters to train their other staff. A similar programme will be started in Uganda in 2005.
- All contractor trucks are inspected at our security gates prior to entry using a comprehensive checklist. This checklist includes mechanical condition, possession of lifesaver reflectors, fire extinguisher, lights, etc. Any faulty truck is not allowed inside the plant until the defect has been corrected.

- Conduct detailed, random safety inspection of our contractor trucks every month to ensure mechanical and operational integrity. Results are communicated to the transporters and those who fall below the pass rate are called upon to explain and commit themselves to improvement actions.
- Hold monthly safety review meetings between our primary contract transporters to assess performance and ensure continuous improvement.

All contracted transporters have reviewed, signed, and agreed to follow our Transporter Safety Standards. These measures have resulted in reduced number of road accidents.

We believe that these initiatives should complement the governments' efforts to keep our roads safe.

"... LET ME CHALLENGE SCHOOLS IN AFRICA, IN NORWAY AND IN THE REST OF THE WORLD TO PLANT A TREE - A PEACE TREE - IN THEIR SCHOOL GARDENS"

PROFESSOR OLE DANBOLT MJOS | CHAIRMAN OF THE NORWEGIAN NOBEL COMMITTEE



COMMUNITY AND ENVIRONMENT PROGRAMMES

BAMBURI CEMENT LIMITED

As mentioned above we direct our social and community activities to education, health, environment and safety. We feel that for appropriate impact and efficiency, focus on major projects on a long-term basis is the best route. Our strategy is therefore to provide continuing support to long-term sustainable projects and is guided by the company's performance.

EDUCATION

One of our initiatives in the education sector falls under our Bursary Scheme set up in 1998, to assist undergraduate students in our National Universities. The bursary supports students from the areas in which we operate who have been offered places in our National Universities. This programme began with support of two students but has since grown to seventeen. Three students have so far successfully graduated and are in full time employ within the service sector in Nairobi.

In addition, we have an internship program, in which we provide field attachment opportunities within our organisation to better prepare the students to the work environment. In tandem with this we have recently launched an apprenticeship-training scheme in which we will sponsor technical apprentices to the National Polytechnics to enable them enhance their knowledge and skills relevant to the current and future

needs of our plant operations and the country. We expect that within the next four years, we will have supported twenty students through this programme. In addition, in December 2004, we entered into a partnership with Moi University in which we will support training and development in the area of concrete products.

HEALTH

Our commitment to the community in the area of health is exemplified by our continued involvement in both HIV/Aids and Malaria control programmes.

In the last one-year we have been licensed and established as a fully-fledged VCT centre at our Mombasa Plant clinic. This facility is open to the community for counselling and testing.

In 2004 we commissioned a community study carried out by Care Kenya with a view to enhancing the availability of Anti Retroviral drugs (ARVs) through a partnership with the Global Fund against Aids and Malaria. Proposals are currently being developed with a view to getting funding for this project.

50TH ANNIVERSARY ACTIVITIES

As part of our 50 years anniversary celebrations the company and its employees were involved in the following activities:

a. Customer Orientation Week

In recognition of the fact that one of our commitments is to focus on the customer, Our staff visited and interacted with our customers (distributors and retailers) over a 3-day road trip in 7 sales regions in Kenya. The objective was the recognition and appreciation of our loyal customers for their continued support and encouraging them to continue doing business with us.

b. Community Days

Bamburi has been a responsible corporate citizen and over the years has dedicated its efforts to bettering the lives of the communities where we operate. In this regard we decided to have community days to enable the company and staff to participate in social activities as follows:

Corporate Office:

We renovated the open yard of the female ward of the Mathari Mental Hospital by paving the yard with "Bamburi Blox" concrete paving blocks. We also renovated all the washrooms.

Mombasa Plant:

We renovated the roof of one residential block of Alms House (mji wa wazee).

Nairobi Grinding Plant:

We donated 50 mosquito nets and 3 bags of maize to Kenya Kids Centre, an institution

catering for street children and orphans. In addition we constructed 22 toilets, plastered floors of 3 classrooms & renovated the Head teacher's office at Mlolongo Primary School.

ENVIRONMENT

a. The Green Schools Project

Although we have no doubt that we have made a remarkable contribution towards society on environmental matters (this is the theme of this year's financial report), we are convinced that as a company and through each individual within the company, we can collectively do even more. The "green schools" project launched in 2003 has had tremendous success. This project focuses on providing clean water and tree seedlings for planting to schools with the aim of eventually creating a sustainable source of drinking water and firewood. We provide a water tank design concept, and then train people in the local community on how to construct it before we offer them cement for construction. We then provide 5,000 tree seedlings to each school. The goal is to ensure that each "Green School" pupil will plant trees that will foster growth of forests and sustenance of firewood for cooking. The tanks will collect rainwater, which will provide access to clean drinking water. Our target is to help construct 100 tanks in 2005. During 2004 we constructed 37 water

tanks in 21 schools and one institution for orphans. To date we have planted over 65,000 tree seedlings in the selected green schools and our system of follow-up indicates that they are maturing properly. We plan to plant approximately 40,000 tree seedlings this forthcoming rainy season.

b. Bamburi – WWF/EARPO Partnership

Shimba Hills

Bamburi in Co-operation with Kenya Wildlife Service, Forestry Department, National Museums of Kenya and local communities are involved in this project that aims at promoting sustainable community livelihood through Forest Landscape Restoration and Public Awareness.

Shimba Hills National Reserve is a 250 Km² national park situated approximately 40 km south of Mombasa, with ecosystems of moist coastal forests, high plant diversity and a high rate of endemism. It is part of WWF's Eastern Africa Coastal Forest Eco region, one of the world's 25 biodiversity hotspots. For Bamburi, Shimba Hills is the main biodiversity reservoir for its ecological quarry rehabilitation.

The project aims to contribute to the conservation of the Shimba Hills ecosystem through involvement of the local communities. We assist reserve-adjacent communities to establish tree plantations on their land along the reserve boundary to create a buffer

zone between the reserve and agricultural land; 33,000 seedlings were planted in 2004. The buffer-zone plantations are established to reduce crop raiding by wildlife from the reserve, mainly elephants, as well as to create revenue that is realisable at a later date from the sale of poles and timber.

At the same time the project supports sustainable livelihood initiatives for the reserve-adjacent communities in order to reduce pressure onto the ecosystem from the poor communities around the reserve. The project organises training for the various activities and assists with establishing markets for the products. In 2004, we supported pilot phase two communities (Msulwa and Lukore) to start a butterfly farming project, community tree nurseries, and traditional handicraft. Bee keeping and fruit trees were also being considered, but those projects have not yet reached implementation stage.

Stakeholder workshops are carried out once a year (the second in 2004 through this project) to bring together all the organisations involved in conservation-related activities around the Shimba Hills National Reserve. The one-day workshops encourage exchange of information and coordination of activities between government departments, NGOs, and community-based organisations.

Linking the WWF partnership project with Bamburi's Green Schools, six schools around Shimba Hills National Reserve have been 'greened', which means that rainwater-harvesting systems and water tanks have been built in partnership with the schools, and 2,000 trees have been planted in each of the schools in 2004, to be continued over three years until each school has planted at least 5,000 trees.

WWF Eastern Africa Corporate Club

The WWF Eastern Africa Corporate Club was officially launched in January 2004, starting off with 13 member companies. Bamburi was one of the first members and our Managing Director is the chair of the club. It is a membership programme developed under the umbrella of WWF East Africa Programme Office (WWF/EARPO) to provide a platform for leading companies in East Africa to promote sustainable development, exchange

experiences and contribute to regional conservation efforts.

The goal is to support national, regional and international efforts in the promotion of sustainable development, poverty alleviation and the maintenance of environmental integrity.

The Corporate Club has embarked on a common project of all member companies, implemented under WWF/EARPO's leadership: 'Eastern Africa Forest Catchments Ecosystems - Partnership for Restoration and Management', focusing initially on Mau Forest as a model site for other water catchment forests in the country and the region.

The Mau Forest is one of the five main water catchments as well as an important biodiversity area in Kenya. Currently Mau Forest covers approx. 390,000 ha, but is severely threatened by population pressure (the forest land is very productive, and crop cultivation has encroached deeply into former forest areas), and over exploitation (mostly timber and fuel-wood).

The goal of the Corporate Club's Mau Forest Project is to protect Mau Forest, conserve its valuable natural resources and sustain the environmental goods and services it provides for the benefit of present and future generations.

The project is implemented through partnerships with relevant organisations, institutions and local communities in order to stop further destruction of the Mau Forest and protect what remains of it. Destroyed and degraded areas are rehabilitated to restore indigenous forests or to establish tree plantations. The programme includes promoting environmental awareness, and building capacity in local communities and institutions. Forest-based, non-destructive income-generating activities are facilitated for the local communities, as well as on-farm tree planting.

"... I REFLECT ON MY CHILDHOOD EXPERIENCE WHEN I WOULD VISIT A STREAM NEXT TO OUR HOME TO FETCH WATER FOR MY MOTHER. I WOULD DRINK WATER STRAIGHT FROM THE STREAM. PLAYING AMONG ARROW ROOT LEAVES I TRIED IN VAIN TO PICK UP THE STRANDS OF FROGS' EGGS BELIEVING THEY WERE BEADS. BUT EVERY TIME I PUT MY LITTLE FINGERS UNDER THEM THEY WOULD BREAK. LATER, I SAW THOUSANDS OF TADPOLES: BLACK ENERGETIC AND WRIGGLING THROUGH CLEAR WATER AGAINST THE BACKGROUND OF THE BROWN EARTH. THIS IS THE WORLD I INHERITED FROM MY PARENTS.... THE CHALLENGE IS TO RESTORE THE HOME OF THE TADPOLES AND GIVE BACK TO OUR CHILDREN A WORLD OF BEAUTY AND WONDER."

WANGARI MAATHAI



OTHER COMMUNITY ACTIVITIES

We continued with our post-retrenchment programme which aims at providing training, counselling, and financial support through a revolving fund to enable the staff start income generating activities. We are currently carrying out a study to enable us make the fund self sustaining and hopefully enhance support and service to the businesses. To date we have directly and indirectly supported the start-up of 140 new businesses, which have created 520 jobs. We have provided micro financing to 50 business start-ups for ex-employees, a number of whom are sub-contractors with companies within the Group.

Our staff feel privileged by virtue of the fact that they hold jobs in a country where 50% of their fellow countrymen live on an average of one dollar a day. They have felt that they have an obligation to play a part in supporting those who are less privileged through charity. In this connection, for every shilling contributed by a staff member, the company matches with a similar amount. Out of 2004 contributions, we elected to pay school fees for four deserving students and support them till completion of secondary school. The balance will go towards supporting charities to be proposed by staff.

In response to the appeal by His Excellency the President, the company donated shs 5 million towards the alleviation of famine in the country. We will continue to be involved in community matters in the area within which we operate

and work even harder to support sustainable projects to complement the fight against poverty.

HIMA CEMENT LIMITED

In Uganda, we continue to be actively involved in a number of social initiatives. Our main focus has been in the areas of Health and sanitation, education, shelter, and environment.

HEALTH

We launched quarterly community days in 2003, to work with the community around our areas of operation on common issues affecting us. In 2004, we had a series of programmes under various key themes including- VCT launch in March, "Sanitation and hygiene" in June focusing on prevention of both cholera and malaria, "Fighting stigma and discrimination" in September which also saw us launch the post-test club, and "safety is health" in December covering road safety, sanitation and hygiene and first-aid at home.

Our plant operates in an environment of poor sanitation, that is also prone to Cholera and Malaria. Using our health team, we are pursuing initiatives to sensitise the local community on simple yet effective tips for better sanitation and prevention of malaria.

Based on a survey conducted by UNICEF in Kasese district, we noted that for most schools in the area, sanitation was a problem and in particular the ratio of students

per latrine was unacceptably high. We adopted this as one of our key focus points in 2003. We maintained this focus in 2004, and have extended the coverage of the programme, reducing the ratio from 1:100 to 1:40 in the schools that we are supporting. A side issue was to ensure that young girls are adequately considered in the availability of toilets as this affects the level of enrolment.

As well as investing in our own medical facilities, the company has carried out awareness campaigns for Cholera, Malaria and HIV/AIDS prevention. Employees have volunteered their time to Community days as mentioned above, and outreach projects that offer education and sensitisation to schools and other members of the locality. In 2004, we entered into an agreement with Aids Information Centre (AIC) through the support of USAID to provide free voluntary counseling and testing (VCT) for our employees, their dependants and also the surrounding community (up to 10,000 people). This project is the first of its kind in Uganda. We believe that this - combined with the other awareness campaigns, will have a great impact on the fight against HIV/AIDS in the region. We were privileged to work with the Private Sector Foundation, Uganda Manufacturers Association, National Organisation of Trade Unions and Mildway International in developing a Uganda HIV/AIDS manual for workplaces 2004, which was launched recently. Our HIV/AIDS policy as well as our policy creation and implementation timetable is widely quoted in this document.

EDUCATION

We are currently sponsoring bright students from Kasese district to secondary schools around the country, and have also sponsored a student to University. Since inception 5 years ago, we have 23 students currently in the programme. Apart from this, we were involved in the rehabilitation of Hima Primary School, and in 2004 we extended this support through the addition of two classrooms. We also continue to provide support through provision of stationery and cost of living allowances for teachers.

ENVIRONMENT

On the environmental front, we started a tree nursery a number of years ago and have been actively involved in planting trees around our plant, and providing tree seedlings to our neighbouring communities. In 2003 and through 2004, we embarked on and have achieved

our ambitious plan to plant 100,000 trees over 2 main rainy seasons in our quarry, particularly the utilised portions, as well as those unlikely to be used. We have also focused on reduced dust emissions through upgrading of the Electro Static Precipitator on our main production line.

OTHER ACTIVITIES

We have developed an outplacement policy aimed at meeting the needs of staff leaving service of the company. This policy is aimed at ensuring our employees are given help with life after Hima Cement Limited through counselling and training for re employment or business start up. We have identified a partner to help us deliver this post deployment assistance and former employees have access to financing from Centenary Rural Development Bank. All staff that are coming up for retirement or redundancy, benefit from this scheme, which

is similar to the Bamburi Cement Limited programme. The Community Relations Manager has the mandate to follow up every individual at regular intervals once they have left the Company.

As part of our efforts to work closer with the local community and other stakeholders we had our first ever plant open day in November 2004 with the Minister for Tourism Trade and Industry as Guest of Honour. This unique day gave valuable insights to our neighbours, suppliers as well as customers on our plant operations and business in general. It also helped to reinforce the other social community initiatives that we are involved in.

We also continue to provide cement donations to needy causes such as schools, churches, mosques, hospitals, children's homes and other causes.

D TRESARRIEU
DIRECTOR

D NJORGE
DIRECTOR

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 54th Annual General Meeting of the Ordinary Shareholders of Bamburi Cement Limited will be held in Mombasa at Nyali Beach Hotel, Malaika Room on Wednesday 8th June 2005 at 3.00 p.m. for the following purposes:

1. To table the proxies and to note the presence of a quorum.
2. To read the notice convening the meeting.
3. To receive the Chairman's statement, the Report of the Directors, and the Audited Accounts for the year ended 31 December 2004.
4. To declare dividends:
 - a) To ratify the payment of 22.5% first interim dividends in September 2004.
 - b) To ratify the payment of 100% second interim dividends in December 2004 to mark the Company's Golden Jubilee.
 - c) To declare the interim dividend payments effected in September and December 2004 respectively (total 122.5%), as final dividend for the financial year ended 31st December 2004.
5. (a) To approve Directors' fees for 2004.
(b) To increase directors fees in 2005.
6. To re-elect directors:
 - a) In accordance with the Company's Articles of Association Messrs. M. Ngunze, T. Hadley and S.W. Karanja retire by rotation and being eligible, offer themselves for re-election.
 - b) In accordance with Article 101 of the Company's Articles of Association, Mr. C. K. Chepkoi who was appointed an additional Director on 1st October 2004, retires from office, and being eligible, offers himself for re-election.
7. To note that Deloitte and Touche continue in office as Auditors in accordance with Section 159 (2) of the Companies Act and to authorize the Directors to fix their remuneration for 2005.
8. To transact any other business of the Company of which due notice has been received.

By order of the Board

Ms. B.A. Oluoch
Secretary
23rd March 2005

A member entitled to attend and vote at the above meeting is entitled to appoint a proxy, who need not be a member of the Company, to attend and vote in his stead. Proxy forms must be lodged at the registered office of the Company, P.O. Box 10921, 00100 Nairobi not less than 48 hours before the time of the meeting. A proxy form is provided with this report.

Dear Shareholder,

RE: Commencement of Central Depository Operations & Immobilization of Share Certificates

You may recall that in 2003 the company amended its Articles of Association in order to comply with the requirements of the Central Depositories Act 2000 in preparation for implementation of the Central Depository System (CDS). The Central Depositories and Settlement Corporation (CDSC) commenced its operations on 10 November 2004.

Immobilization of shares involves depositing the share certificates with the CDSC. To do this, one is required to open a CDS account with CDSC. Thereafter, the shares deposited and purchased will be credited in the account while those that are sold will be debited in the account. The CDSC will issue monthly statements to all account holders showing the transactions and holding per security. No share certificates shall be issued in respect of transactions relating to shares deposited in the Central Depository.

The first phase of immobilization commenced on 19th November 2004 when a selected number of listed companies were notified that their shares would be immobilized.

Bamburi shares were selected for immobilization under the second phase that became effective on 21st December 2004 and the statutory notices required under Section 43 of the Central Depositories Act 2000 issued. The process of depositing shares in the Central Depository commenced on 21 December 2004. Trading in the immobilized shares for clearance and settlement commenced on 29th December 2004. This meant that with effect from 29 December 2004 if one wanted to trade their shares on the Nairobi Stock Exchange, one would have to immobilize the shares.

As the shares of the company have been immobilized, any shareholder wishing to trade their shares must open a securities account with a Central Depository Agent (CDA) and deposit their shares with the Central Depository. The share registrars are now verifying share certificates sent by the CDS Agents prior to their being deposited in each shareholder's securities account opened with the Central Depository. The list of licensed Central Depository Agents is available from the Central Depository and Nairobi Stock Exchange.

As a shareholder once you immobilize your shares you will benefit from the increased efficiency of the trading process and more opportunity for you and other investors to trade your shares on the Nairobi Stock Exchange faster and take advantage of favorable movement on prices. There is a simultaneous exchange of cash and securities within five (5) working days after the day of trading. Previously one would be required to wait another seven (7) working days for a share certificate in order to be able to trade in his/her shares. The immobilization of shares of the company accords opportunity for investors to move their shares faster as trading prices move.

Please contact the Central Depository Help Desk on Telephone 230692 Ext 248 or the Registrars, Chunga Associates on Telephone 2855000 should you require any clarifications.

FINANCIAL INFORMATION

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DIRECTORS AND PROFESSIONAL ADVISERS

EXECUTIVE DIRECTORS

D Tresarrieu	-	Managing Director, Bamburi Cement Limited	-	French
M Ngunze	-	Managing Director, Hima Cement Limited	-	Kenyan
D Njoroge	-	Finance Director	-	Kenyan

NON EXECUTIVE DIRECTORS

R Kemoli	-	Chairman	-	Kenyan
J C Hillenmeyer			-	French
S W Karanja			-	Kenyan
A Hadley			-	British
N Mogere	-	Alternate S J Chitembwe	-	Kenyan
E Leo			-	South African
C.C. Kisire	-	Appointed 1 October 2004	-	Kenyan

SECRETARY

Ms B A Oluoch
Kenya-Re Towers, Upper Hill
P O Box 10921, 00100
Nairobi

EXECUTIVE COMMITTEE

D Tresarrieu
M Ngunze
D Njoroge
R Thyaka
T Kaloki
H Nicot
E Maritim
M Leye

NOMINATION & REMUNERATION COMMITTEE

T Hadley
R Kemoli
D Tresarrieu

ASSET DISPOSAL COMMITTEE

N Mogere
D Tresarrieu
D Njoroge
M Leye

AUDIT COMMITTEE

J C Hillenmeyer
C Kisire
N Mogere
D Tresarrieu
D Njoroge
S Kibirige (Internal Auditor)

REGISTERED OFFICE

Kenya-Re Towers, Upper Hill
P O Box 10921, 00100
Nairobi

REGISTRARS

Chunga Associates
P O box 41963, 00100
Nairobi

AUDITORS

Deloitte & Touche
"Kirungii", Ring Road
Westlands
P.O. Box 40092, 00100
Nairobi

PRINCIPAL BANKERS

Barclays Bank of Kenya Limited
Nkrumah Road Branch
P O Box 90182
Mombasa

Citibank N A
Nyerere Avenue
P O Box 83615
Mombasa

Standard Chartered Bank
Uganda Limited
Speke Road Branch, 5 Speke Road
P.O. Box 7111
Kampala.

Stanbic Bank
17 Hamington Road
Crested Towers Building
P O Box 7131
Kampala

REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements for the year ended 31 December 2004.

PRINCIPAL ACTIVITIES

The Group is primarily engaged in the manufacture and sale of cement and cement related products. The Group also owns and manages a world class nature and environmental park developed from rehabilitated quarries.

RESULTS

Shs'million

Group profit before tax	2,786
Tax	(885)

Group profit after tax	1,901
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Minority interest	(183)
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Net profit for the year transferred to revenue reserve	1,718
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DIVIDENDS

During the year two interim dividends amounting to Shs 2,223 million (2003 – Shs 363 million) were paid. The directors do not recommend a final dividend and the interim dividend paid will be ratified at the Annual General Meeting on 8 June 2005.

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential

adverse effects on its financial performance within the options available in Kenya and Uganda to hedge against such risks.

The Group has effective policies in place to ensure that credit sales are made to customers with an appropriate credit history.

DIRECTORS

The present board of directors is shown on page 33. The following changes took place during the year:

Mr G C D Groom resigned on 15 July 2004 while Mr J C Kulei resigned on 1 October 2004.

Mr C C Kisire was appointed on 1 October 2004.

AUDITORS

Deloitte & Touche, having expressed their willingness, will continue in office in accordance with Section 159 (2) of the Companies Act.

BY ORDER OF THE BOARD

Secretary
Nairobi
15 February 2005

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the group's profit or loss. It requires the directors to ensure that the group keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the group. They are also responsible for safeguarding the group's assets.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and of the company and of the group's profit. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that any of the companies in the group will not remain a going concern for at least the next twelve months from the date of this statement.

D TRESARRIEU
DIRECTOR

D NJOROGI
DIRECTOR

15 February 2005

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF BAMBURI CEMENT LIMITED

We have audited the financial statements on pages 37 to 62 for the year ended 31 December 2004 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

As described on page 35, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

BASIS OF OPINION

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

OPINION

In our opinion:

- (a) proper books of account have been kept by the company and the company's balance sheet is in agreement therewith;
- (b) the financial statements give a true and fair view of the state of affairs of the company and of the group at 31 December 2004 and of the group's profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenya Companies Act.

Deloitte & Touche

15 February 2005

CONSOLIDATED INCOME STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2004

	Notes	2004 Shs'million	2003 Shs'million
Sales		12,284	10,411
Other operating income	3	143	78
		12,427	10,489
Change in inventory of finished goods		(24)	(53)
Cost of raw materials and consumables	4	(6,105)	(5,237)
Staff costs	5	(1,241)	(1,206)
Depreciation and amortisation		(770)	(781)
Restructuring costs		(31)	(133)
Other operating costs	6	(1,538)	(1,249)
Operating profit	2	2,718	1,830
Net finance income/(costs)	7	68	(88)
Profit before tax		2,786	1,742
Tax	8	(885)	(589)
Profit after tax		1,901	1,153
Minority interest	23	(183)	(86)
Net profit for the year		1,718	1,067
Earnings per share - basic	9	Shs 4.73	Shs 2.94
- diluted	9	Shs 4.73	Shs 2.94
Dividends:			
First interim dividend - paid in the year	10	408	363
Second interim dividend- paid in the year	10	1,815	-
Proposed final dividend for the year	10	-	653
		2,223	1,016

CONSOLIDATED BALANCE SHEET

31 DECEMBER 2004

	Notes	2004 Shs'million	2003 Shs'million
ASSETS			
Non current assets			
Property, plant and equipment	11	9,876	10,175
Operating lease rentals	12	11	10
Intangible assets	13	49	77
Capital work in progress	14	347	83
Investments in subsidiaries	15	1	1
Other equity investments	16	734	1,013
Goodwill	17	217	267
		11,235	11,626
Current assets			
Inventories	18	1,879	1,688
Trade and other receivables	19	856	803
Tax recoverable		-	19
Cash and cash equivalents	20	841	1,261
		3,576	3,771
TOTAL ASSETS		14,811	15,397
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	21	1,815	1,815
Capital redemption reserve		2	2
Revaluation surplus	22	3,107	3,394
Fair value reserve		388	638
Retained earnings		4,368	4,658
Proposed dividends	10	-	653
Translation reserve		183	(148)
Shareholders' funds		9,863	11,012
Minority interest	23	622	515
Non-current liabilities			
Deferred tax	24	2,134	2,185
Provision for liabilities and charges	25	214	181
		2,348	2,366
Current liabilities			
Trade and other payables	26	1,428	1,078
Tax payable		161	-
Borrowings	27	209	412
Provision for liabilities and charges	25	28	-
Unclaimed dividends		152	14
		1,978	1,504
		14,811	15,397

The financial statements on pages 37 to 62 were approved by the board of directors on 15 February 2005 and were signed on its behalf by:

D TRESARRIEU
DIRECTOR

D NJOROGÉ
DIRECTOR

COMPANY BALANCE SHEET

31 DECEMBER 2004

	Notes	2004 Shs'million	2003 Shs'million
ASSETS			
Non current assets			
Property, plant and equipment	11	7,195	7,761
Operating lease rentals	12	1	1
Intangible assets	13	29	46
Capital work in progress	14	254	69
Investments in subsidiaries	15	968	968
Other equity investments	16	734	1,013
		9,181	9,858
Current assets			
Inventories	18	1,467	1,210
Trade and other receivables	19	923	846
Tax recoverable		-	27
Cash and cash equivalents	20	638	1,134
		3,028	3,217
TOTAL ASSETS		12,209	13,075
EQUITY AND RESERVES			
Capital and reserves			
Share capital	21	1,815	1,815
Capital redemption reserve		2	2
Revaluation surplus	22	2,685	2,940
Fair value surplus		388	638
Retained earnings		4,176	4,427
Proposed dividends	10	-	653
Shareholders' funds		9,066	10,475
Non-current liabilities			
Deferred tax	24	1,545	1,675
Provision for liabilities and charges	25	212	179
		1,757	1,854
Current liabilities			
Trade and other payables	26	1,073	732
Tax payable		133	-
Provision for liabilities and charges	25	28	-
Unclaimed dividends		152	14
		1,386	746
		12,209	13,075

The financial statements on pages 37 to 62 were approved by the board of directors on 15 February 2005 and were signed on its behalf by:

D TRESARRIEU
DIRECTOR

D NJOROGÉ
DIRECTOR

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2004

	Share capital Shs'million	Capital redemption Reserve Shs'million	Revaluation reserve Shs'million	Fair value reserve Shs'million	Retained earnings Shs'million	Proposed Dividends Shs'million	Translation reserve Shs'million	Total Shs'million
At 1 January 2003	1,815	2	3,590	(25)	4,411	181	(97)	9,877
Transfer of excess depreciation	-	-	(240)	-	240	-	-	-
Deferred tax on excess depreciation	-	-	72	-	(72)	-	-	-
Revaluation surplus realised on disposal of property	-	-	(39)	-	39	-	-	-
Deferred tax on revaluation surplus realised on disposal of property	-	-	11	-	(11)	-	-	-
Translation loss	-	-	-	-	-	-	(51)	(51)
Fair value gain on equity investments	-	-	-	662	-	-	-	662
Fair value losses realised on disposal of equity investments	-	-	-	1	-	-	-	1
Net profit for the year	-	-	-	-	1,067	-	-	1,067
Dividends:								
- final for 2002	-	-	-	-	-	(181)	-	(181)
- interim for 2003	-	-	-	-	(363)	-	-	(363)
- proposed final for 2003	-	-	-	-	(653)	653	-	-
At 31 December 2003	1,815	2	3,394	638	4,658	653	(148)	11,012
At 1 January 2004	1,815	2	3,394	638	4,658	653	(148)	11,012
Transfer of excess depreciation	-	-	(254)	-	254	-	-	-
Deferred tax on excess depreciation	-	-	76	-	(76)	-	-	-
Revaluation surplus realised on disposal of property	-	-	(122)	-	122	-	-	-
Deferred tax on revaluation surplus realised on disposal of property	-	-	13	-	(13)	-	-	-
Translation loss	-	-	-	-	(72)	-	331	259
Fair value loss on equity investments	-	-	-	(219)	-	-	-	(219)
Fair value gains realised on disposal of equity investments	-	-	-	(31)	-	-	-	(31)
Net profit for the year	-	-	-	-	1,718	-	-	1,718
Dividends:								
- final for 2003	-	-	-	-	-	(653)	-	(653)
- interim for 2004	-	-	-	-	(2,223)	-	-	(2,223)
At 31 December 2004	1,815	2	3,107	388	4,368	-	183	9,863

The reserve accounts included in the statement of changes in equity are explained below:

- The capital redemption reserve represents funds set aside for redemption of preference shares.
- The revaluation reserve represents the net cumulative surpluses arising from revaluations of property, plant and equipment. The revaluation surpluses are non-distributable.
- The fair value reserve represents the cumulative surpluses or deficits arising from restatement of investments in equity shares from cost to fair value based on the market values of the equities at the balance sheet date.
- The retained earnings represent accumulated profits retained by the group after payment of dividends to the shareholders.
- The translation reserve represents the cumulative position on translation gains and losses arising from conversion of the net assets of the foreign subsidiary company to the reporting currency.

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2004

	Share capital Shs'million	Capital redemption reserve Shs'million	Revaluation reserve Shs'million	Fair value reserve Shs'million	Retained earnings Shs'million	Proposed dividends Shs'million	Total Shs'million
At 1 January 2003	1,815	2	3,107	(25)	4,183	181	9,263
Transfer of excess depreciation	-	-	(199)	-	199	-	-
Deferred tax on excess depreciation	-	-	60	-	(60)	-	-
Revaluation surplus realised on disposal of property	-	-	(39)	-	39	-	-
Deferred tax on revaluation surplus realised on disposal of property	-	-	11	-	(11)	-	-
Fair value gain on equity investments	-	-	-	662	-	-	662
Fair value losses realised on disposal of equity investments	-	-	-	1	-	-	1
Net profit for the year	-	-	-	-	1,093	-	1,093
Dividends:							
- final for 2002	-	-	-	-	-	(181)	(181)
- interim for 2003	-	-	-	-	(363)	-	(363)
- proposed final for 2003	-	-	-	-	(653)	653	-
At 31 December 2003	1,815	2	2,940	638	4,427	653	10,475
At 1 January 2004	1,815	2	2,940	638	4,427	653	10,475
Transfer of excess depreciation	-	-	(208)	-	208	-	-
Deferred tax on excess depreciation	-	-	62	-	(62)	-	-
Revaluation surplus realised on disposal of property	-	-	(122)	-	122	-	-
Deferred tax on revaluation surplus realised on disposal of property	-	-	13	-	(13)	-	-
Fair value loss on equity investments	-	-	-	(219)	-	-	(219)
Fair value gains realised on disposal of equity investments	-	-	-	(31)	-	-	(31)
Net profit for the year	-	-	-	-	1,717	-	1,717
Dividends:							
- final for 2003	-	-	-	-	-	(653)	(653)
- interim for 2004	-	-	-	-	(2,223)	-	(2,223)
- proposed final for 2004	-	-	-	-	-	-	-
At 31 December 2004	1,815	2	2,685	388	4,176	-	9,066

The reserve accounts included in the statement of changes in equity are explained below:

- The capital redemption reserve represents funds set aside for redemption of preference shares.
- The revaluation reserve represents the net cumulative surpluses arising from revaluations of property, plant and equipment. The revaluation reserve is non-distributable.
- The fair value reserve represents the cumulative surpluses or deficits arising from restatement of investments in equity shares from cost to fair value based on the market values of the equities at the balance sheet date.
- The retained earnings represent accumulated profits retained by the company after payment of dividends to the shareholders.

CONSOLIDATED CASH FLOW STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2004

	Notes	2004 Shs'million	2003 Shs'million
OPERATING ACTIVITIES			
Cash generated from operations	30	3,761	2,819
Interest received		18	5
Interest paid		(53)	(82)
Taxation paid		(848)	(950)
Net cash generated from operating activities		2,878	1,792
INVESTING ACTIVITIES			
Purchase of property, plant and equipment and expenditure on capital work in progress		(397)	(305)
Purchase of intangible assets		(10)	(19)
Proceeds from disposal of equity investments		56	25
Proceeds from disposals of property, plant and equipment		203	17
Dividends received		7	15
Net cash used in investing activities		(141)	(267)
FINANCING ACTIVITIES			
Dividends paid to group shareholders		(2,738)	(1,266)
Dividends paid to minority interest		(165)	(84)
Repayment of borrowings from minority shareholders		-	(4)
Net cash used in financing activities		(2,903)	(1,354)
(DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		(166)	171
MOVEMENT IN CASH AND CASH EQUIVALENTS			
Balance at start of year		849	659
(Decrease)/increase for the year		(166)	171
Exchange adjustment		(51)	19
Balance at end of year	20	632	849

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2004

1 ACCOUNTING POLICIES

The financial statements are prepared in accordance with International Financial Reporting Standards.

The accounting policies adopted in the preparation of these financial statements remain unchanged from the previous years. The company's principal accounting policies are set out below:

(a) Basis of preparation

The financial statements are prepared under the historical cost convention as modified by the revaluation of certain property, plant and equipment, and the carrying of available-for-sale investments at fair values.

(b) Consolidation

Subsidiary undertakings, which are those companies in which the parent company, directly or indirectly, has an interest of more than one half of the voting rights or otherwise has power to exercise control over the operations, are consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and consolidation ceases from the date of disposal. All inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated; losses are also eliminated unless cost cannot be recovered. Where necessary, accounting policies for subsidiaries have been changed to achieve consistency with the policies adopted by the parent company.

The income statements of subsidiaries are translated at average exchange rates for the year and the balance sheets at the year end rates. The resulting differences arising from translation are dealt with in the translation reserve.

A listing of the subsidiaries in the group is provided in Note 15.

(c) Revenue recognition

Sales are recognised upon delivery of products to customers and performance of services, and are stated net of VAT and discounts, and after eliminating sales within the Group.

Interest income is recognised as it accrues, unless its collectibility is in doubt. Dividends receivable are recognised as income in the period in which they are declared.

(d) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at the balance sheet date. The resulting differences from conversion and translation are dealt with in the income statement in the year in which they arise.

(e) Investments

The company has classified its investments into available-for-sale investments and originated loans. Management determines the appropriate classification of its investments at the time of purchase and re-evaluates such designations on a regular basis as follows:

- (i) Investments intended to be held for an indefinite period of time, but which may be sold in response to needs for liquidity or changes in interest rates, are classified as available-for-sale. These investments are included in non-current assets unless management has the express intention of holding the investment for less than 12 months from the balance sheet date or unless they will need to be sold to raise operating capital.
- (ii) Non-equity investments purchased in the primary market (i.e. directly from the issuers) are classified as originated loans.

All purchases and sales of investments are initially recognised at cost on the trade date, which is the date a company within the group commits to purchase or sell the asset. Cost of purchase includes transaction costs.

Available-for-sale investments are subsequently carried at fair value, whilst originated loans are carried at amortised cost using the effective yield method.

Unrealised gains and losses arising from changes in the fair value of available-for-sale investments are dealt with in a separate reserve in the statement of changes in equity. On disposal, the entire realised gain or loss is recognised in the income statement.

(f) Property, plant and equipment

All property, plant and equipment are initially recorded at cost. Freehold land, buildings, plant and machinery are subsequently restated to revalued amounts, based on valuations by independent external valuers, less subsequent depreciation. The valuations are carried out approximately once every five years. All other property, plant and equipment are stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the related revaluation reserve; all other decreases are charged to the income statement. Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to the income statement) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation is calculated on the straight line basis to write down the cost of each item of property plant and equipment, or the revalued amount, to its residual value over its expected useful life as follows:

Buildings, plant and machinery	19 - 20 years
Equipment and mobile plant	3 - 10 years
Residential buildings	40 years

Freehold land is not depreciated as it is deemed to have an infinite life.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit. Upon disposal of revalued assets, amounts carried in the revaluation reserve in relation to those assets are transferred to retained earnings.

(g) Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all risks and rewards of ownership to the Group or the company as the lessee. All other leases are classified as operating leases.

Rentals payable under operating leases are amortised on the straight line basis over the term of the relevant lease.

(h) Goodwill

Goodwill arising on consolidation of subsidiaries is amortised over a 10 year period.

(i) Inventories

Inventories of consumables and spare parts are stated at cost less provision for obsolete and slow moving items. All other inventories are stated at the lower of cost and net realisable value. Cost includes direct cost and appropriate overheads and is determined on the first-in first-out method.

(j) Trade receivables

Trade receivables are carried at amortised invoice amounts less an estimate made for doubtful receivables based on a review of all outstanding amounts at the year end. Bad debts are written off in the year in which they are identified as irrecoverable.

(k) Employee entitlements

Employee entitlements to long service awards are recognised when they accrue to employees. A provision is made for the estimated liability for long-service awards as a result of services rendered by employees up to the balance sheet date.

The estimated monetary liability for employees' accrued leave entitlements at the balance sheet date is recognised as an expense accrual.

(l) Taxation

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

Deferred tax assets are only recognised to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

(m) Retirement benefits obligations

The group operates a defined contribution pension scheme for eligible non-unionisable employees. The scheme is administered by an independent investment management company and is funded by contributions from both the company and employees. The Group also makes contributions to the statutory defined contribution schemes in the two countries where operations are based.

Unionisable staff who retire on attaining the age of 55 years or are declared redundant are eligible for a service gratuity based on each employee's length of service with the group, as provided for in the trade union agreement.

The group's obligations to the staff retirement benefits plans are charged to the income statement as they fall due or in the case of service gratuity as they accrue to each employee.

(n) Restructuring provisions

Restructuring provisions mainly comprise employee termination payments and are recognised in the period in which the company becomes legally or constructively committed to payment. Employee termination benefits are recognised only after either an agreement is in place with the appropriate employee representatives specifying the terms of redundancy and numbers of employees affected, or after individual employees have been advised of the specific terms. Costs related to the ongoing activities of the company are not provided for in advance.

(o) Dividends

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared. Dividends receivable are recognised to income upon notification of declaration of the dividends by investee companies.

(p) Impairment

At each balance sheet date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Any impairment losses are recognised as an expense immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss is recognised as income immediately.

(q) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

1 SEGMENT INFORMATION

The group is organised on a regional basis into two main geographical segments:

- Kenya
- Uganda

Both geographical segments are mainly involved in cement manufacturing and selling. Hence the primary reporting format below is the only one presented.

Year ended 31 December 2004

All figures in million of Kenya Shillings

	Kenya	Uganda	Group
Revenues	8,610	3,674	12,284
Operating profit	1,807	911	2,718
Segment assets	11,193	3,401	14,594
Non-segment assets			217
Total assets			14,811
Segment liabilities	3,169	1,005	4,174
Non-segment liabilities			152
Total liabilities			4,326

Year ended 31 December 2003

All figures in millions of Kenya Shillings

Revenues	7,515	2,896	10,411
Operating profit	1,338	492	1,830
Segment assets	12,010	3,120	15,130
Non-segment assets			267
Total assets			15,397
Segment liabilities	2,624	1,232	3,856
Non-segment liabilities			14
Total liabilities			3,870

Segment assets consist primarily of property, plant and equipment, intangible assets, inventories, receivables and operating cash, and mainly exclude investments. Segment liabilities comprise operating liabilities and exclude items such as dividends payable and certain corporate borrowings.

Sales revenue reporting is based on the country in which the production facility is located. Total assets are shown by the geographical area in which the assets are located.

2 OPERATING PROFIT

	GROUP	
	2004	2003
	Shs'million	Shs'million
The operating profit is arrived at after charging:		
Depreciation (note 11)	680	673
Amortisation of intangible assets (note 13)	40	58
Amortisation of goodwill (Note 17)	50	50
Directors' emoluments:		
- Fees	6	6
- Other emoluments	74	84
Auditors' remuneration	7	6

3 OTHER OPERATING INCOME

Profit on disposal of property, plant and equipment	66	-
Profit on sale of equity investments	27	13
Other miscellaneous income	50	65
	143	78

4 COST OF RAW MATERIALS AND CONSUMABLES

Raw materials and packaging	3,468	2,788
Fuel costs	1,317	902
Repairs and maintenance	559	817
Electricity	761	730
	6,105	5,237

5 STAFF COSTS

The following items are included within staff costs:

Salaries and wages	875	904
Staff welfare costs	282	205
Retirement benefits costs	84	97
	1,241	1,206

The number of persons employed by the group
at the year end was:

	Numbers	Numbers
Full time	864	920
Casuals	162	134
	1,026	1,054

	GROUP	
	2004	2003
	Shs'million	Shs'million

6 OTHER OPERATING COSTS

Administrative costs	689	569
Distribution costs	453	307
Professional fees	277	231
Loss on disposal of property, plant and machinery	-	34
Other	119	108
	1,538	1,249

7 NET FINANCE INCOME/(COSTS)

Interest income	18	5
Dividend income	46	15
Bank charges	(30)	(20)
Net foreign exchange gain / (losses)	87	(6)
Interest expense	(53)	(82)
	68	(88)

8 TAX

Current tax	970	594
Under provision of current tax in prior years	-	(6)
Overseas tax charged on dividends receivable	58	42
Net current tax charge	1,028	630
Deferred tax credit	(136)	(49)
(Over)/under provision of deferred tax in prior years	(7)	8
Net deferred tax credit	(143)	(41)
Total tax charge	885	589

8 TAX (CONTINUED)

The tax on the group profit before tax differs from the theoretical amount that would arise using the basic tax rate as shown in the reconciliation below:

	GROUP	
	2004	2003
	Shs'million	Shs'million
Profit before tax	2,786	1,742
Tax calculated at the domestic rates applicable of 30%	836	523
Tax effect of:		
Income not subject to tax	(34)	(20)
Expenses not deductible for tax purposes	32	42
Overprovision of current tax in prior years	-	(6)
(Over)/under provision of deferred tax in prior years	(7)	8
Overseas tax charged on dividends	58	42
Actual tax charge	885	589

9 EARNINGS PER SHARE

Basic earnings per share is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year, as shown below:

	2004	2003
Net profit attributable to shareholders (Shs million)	1,718	1,067
Weighted average number of ordinary shares (million)	363	363
Basic earnings per share (Shs)	4.73	2.94

There were no potentially dilutive shares outstanding at 31 December 2004 and 31 December 2003.

10 DIVIDENDS

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. At the annual general meeting to be held on 8 June 2005, the interim dividend paid in 2004 will be ratified. During the year an interim dividend of Shs 1.12 per share, amounting to a total of Shs 408 million was paid. A special 50th anniversary dividend of Shs 5.00 per share amounting to Shs 1,815 Million was paid in December 2004. The total dividend for the year is therefore Shs 6.12 per share (2004: Sh 2.80 per share), converting to a total of Shs 2,223 million (2004: Shs 1,016 million).

Payment of dividends is subject to withholding tax at a rate of 10% for non-resident shareholders and 5% for resident shareholders.

11 PROPERTY, PLANT AND EQUIPMENT**GROUP**

	Land and residential buildings Shs'million	Plant and machinery Shs'million	Office equipment and tools Shs'million	Mobile plant Shs'million	Total Shs'million
Cost or valuation					
At 1 January 2004	1,423	10,072	528	984	13,007
Exchange adjustment*	77	375	19	27	498
Additions	2	88	41	5	136
Disposals	(132)	(10)	(26)	(78)	(246)
Impairment	(25)	-	-	-	(25)
At 31 December 2004	1,345	10,525	562	938	13,370
Depreciation					
1 January 2004	135	1,502	406	789	2,832
Exchange adjustment*	19	51	13	16	99
Charge for the year	35	535	52	58	680
On disposals					
On Impairment	(5)	(14)	(41)	(49)	(109)
	(8)	-	-	-	(8)
At 31 December 2004	176	2,074	430	814	3,494
Net book value					
At 31 December 2004	1,169	8,451	132	124	9,876
At 31 December 2003	1,288	8,570	122	195	10,175

*The exchange adjustment arises from the translation of the values relating to assets held by a subsidiary, Himcem Holdings Limited.

Land and residential buildings include freehold land worth Sh 540 million (2003 : Shs 623 million) located in Mombasa and limestone deposits worth Shs 140 million (2003 : Shs 156 million) in Kasese, Uganda.

11 PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

	Land And Residential Buildings Shs'million	Plant and machinery Shs'million	Office equipment and tools Shs'million	Mobile plant Shs'million	Total Shs'million
COMPANY					
Cost or valuation					
At 1 January 2004	939	7,878	416	831	10,064
Additions	-	59	7	-	66
Disposals	(132)	-	(19)	(74)	(225)
At 31 December 2004	807	7,937	404	757	9,905
Depreciation					
At 1 January 2004	26	1,230	324	723	2,303
Charge for the year	9	421	31	35	496
On disposals	(5)	-	(19)	(65)	(89)
At 31 December 2004	30	1,651	336	693	2,710
Net book value					
At 31 December 2004	777	6,286	68	64	7,195
At 31 December 2003	913	6,648	92	108	7,761

11 PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

The Group's land, buildings, plant, and machinery were revalued on 1 January 2001. Land and buildings were valued by independent valuers. The valuation of plant and machinery was carried out by engineers and consultants of a related company.

Land and buildings were revalued on the basis of depreciated reinstatement values. Plant and machinery were revalued on a depreciated replacement cost basis.

If the property, plant and equipment were stated on the historical cost basis, the amounts would be as follows:

	GROUP		COMPANY	
	2004 Shs'million	2003 Shs'million	2004 Shs'million	2003 Shs'million
Cost	8,460	8,090	5,984	6,001
Accumulated depreciation	(3,075)	(2,734)	(2,549)	(2,331)
Net book value	5,385	5,356	3,435	3,670

12 OPERATING LEASE RENTALS

	GROUP		COMPANY	
	2004 Shs'million	2003 Shs'million	2004 Shs'million	2003 Shs'million
Net carrying amount at 1 January 2004	10	11	1	1
Exchange adjustment	1	(1)	-	-
Balance as at 31 December 2004	11	10	1	1

The operating lease rentals relate to leasehold land, mainly raw materials quarries located in Mombasa and Nairobi in Kenya and Kasese in Uganda.

	GROUP	COMPANY
	Shs'million	Shs'million

13 INTANGIBLE ASSETS – COMPUTER SOFTWARE

COST		
At 1 January 2004	298	230
Additions	10	5
Disposal	(1)	-
Exchange adjustment	12	-
At 31 December 2004	319	235
AMORTISATION		
At 1 January 2004	221	184
Charge for the year	40	22
Disposal	(1)	-
Exchange adjustment	10	-
At 31 December 2004	270	206
NET BOOK VALUE		
At 31 December 2004	49	29
At 31 December 2003	77	46

14 CAPITAL WORK IN PROGRESS

Capital work in progress relates primarily to plant modifications in progress at year end. No depreciation has been charged on this expenditure.

15 INVESTMENTS IN SUBSIDIARIES

Details of the subsidiaries in the group are provided below:

		GROUP		COMPANY	
	Holding %	2004 Shs'million	2003 Shs'million	2004 Shs'million	2003 Shs'million
Simbarite Limited	100	-	-	53	53
Less: impairment provision		-	-	(22)	(22)
		-	-	31	31
Bamburi Special Products Ltd	100	-	-	20	20
Bamburi Cement Ltd, Uganda	100	-	-	-	-
Himcem Holdings Ltd, Channel Islands	100	-	-	911	911
Lafarge Ecosystem Ltd	100	-	-	5	5
Diani Estate Ltd	100	1	1	1	1
Whistling Pines Ltd	100	-	-	-	-
Kenya Cement Marketing Ltd	50	-	-	-	-
Portland Mines Ltd	50	-	-	-	-
Seruji Management Ltd, Channel Islands	100	-	-	-	-
		1	1	968	968

Except where indicated above, the subsidiaries are incorporated in Kenya.

Himcem Holdings Limited has a 70% holding in its subsidiary, Hima Cement Limited, a company incorporated in Uganda.

16 OTHER EQUITY INVESTMENTS

These represent Available-For-Sale investments, which are restated to fair value annually at the close of business on 31 December. For investments traded in active markets, fair value is determined by reference to Stock Exchange quoted bid prices. For other investments, fair value is determined by reference to the current market for similar instruments or by reference to the discounted cash flows of the underlying net assets.

The market value of the quoted equity shares at 31 December 2004 was Shs 734 million (2003- Shs 1,013 million).

16 OTHER EQUITY INVESTMENTS (CONTINUED)

The movement in available-for-sale investments is as follows:

	GROUP AND COMPANY	
	2004 Shs'million	2003 Shs'million
At 1 January	1,013	362
Fair value (loss)/gain	(219)	662
Fair value gain realised on disposal	(31)	1
Disposal	(29)	(12)
At 31 December	734	1,013

The fair value gains and losses on Available-For- Sale investments are dealt with in a separate reserve in the statement of changes in equity.

17 GOODWILL

	GROUP	
	2004 Shs'million	2003 Shs'million
Cost		
On acquisition of subsidiary	503	503
Amortisation		
At 1 January	236	186
Charge for the year	50	50
At 31 December	286	236
Net carrying value	217	267

18 INVENTORIES

	GROUP		COMPANY	
	2004 Shs'million	2003 Shs'million	2004 Shs'million	2003 Shs'million
Raw materials,	285	255	260	174
Consumables and spare parts	1,068	1,092	762	810
Finished goods	141	165	118	101
Fuel and packaging	384	174	327	125
Other	1	2	-	-
	1,879	1,688	1,467	1,210

19 TRADE AND OTHER RECEIVABLES

	GROUP		COMPANY	
	2004	2003	2004	2003
	Shs'million	Shs'million	Shs'million	Shs'million
Trade receivables	453	474	293	286
Prepayments and deposits	62	49	43	28
Other receivables	141	95	107	54
Receivables from related companies (Note 31)	200	185	480	478
	856	803	923	846

20 CASH AND CASH EQUIVALENTS

Cash at bank and on hand	490	478	328	351
Short term bank deposits	129	783	129	783
Deposit with related party	222	-	181	-
	841	1,261	638	1,134

The weighted average effective interest rate earned on short-term bank and related party deposits during the year was 2.5% (2003-2.5%). The short-term deposits mature within three months.

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, deposits held at call with banks and investments in money market instruments, net of bank overdrafts. In the balance sheet, bank overdrafts are included in borrowings, under current liabilities. The year end cash and cash equivalents comprise the following:

	GROUP	
	2004	2003
	Shs'million	Shs'million
Deposits, bank balances and cash (as above)	841	1,261
Bank overdrafts (note 27)	(93)	(412)
Short term borrowing (note 27)	(116)	-
	632	849

21 SHARE CAPITAL

	GROUP AND COMPANY	
	2004 Shs'million	2003 Shs'million
Authorised		
366,600,000 ordinary shares of Sh 5 each	1,833	1,833
100,000 7% cumulative redeemable preference shares of Sh 20 each	2	2
	1,835	1,835
Issued and fully paid		
362,959,275 ordinary shares of Sh 5 each	1,815	1,815

22 REVALUATION RESERVE

The reserve represents surpluses arising from revaluations of property, plant and equipment and it is non distributable.

	GROUP	
	2004 Shs'million	2003 Shs'million
At 1 January	515	540
Share of profit for the year	183	86
Revaluation surplus movement	(10)	-
Dividends paid	(165)	(84)
	523	542
Translation gain /(loss)	99	(27)
At 31 December	622	515

24 DEFERRED TAX

Deferred taxes are calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2003: 30%). The make up of the deferred tax liabilities at the year end and the movement on the deferred tax account during the year are presented below:

	GROUP		COMPANY	
	2004 Shs'million	2003 Shs'million	2004 Shs'million	2003 Shs'million
Accelerated capital allowances on				
Property, plant and equipment	909	894	558	591
Exchange differences	(2)	(5)	(5)	(4)
Provisions	(136)	(103)	(83)	(63)
Revaluation surpluses	1,384	1,425	1,075	1,151
Other temporary differences	(21)	(26)	-	-
	2,134	2,185	1,545	1,675

24 DEFERRED TAX (CONTINUED)

	GROUP		COMPANY	
	2004	2003	2004	2003
	Shs'million	Shs'million	Shs'million	Shs'million
The movement on the deferred tax account during the year is as follows:				
At 1 January	2,185	2,253	1,675	1,762
Income statement credit for the year	(143)	(41)	(130)	(87)
Exchange differences	92	(27)	-	-
At 31 December	2,134	2,185	1,545	1,675

In addition, deferred tax amounting to Shs 89 million in respect of the group (2003: Shs 83 million) and Shs 75 million in respect of the company (2003: Shs 71 million) has been transferred within shareholders' equity from retained earnings to revaluation reserves. This represents deferred tax on the difference between the actual depreciation charge on the property, plant and equipment and the equivalent depreciation charge based on the historical cost of the property, plant and equipment and deferred tax realised on disposal of property, plant and equipment.

25 PROVISIONS FOR LIABILITIES AND CHARGES**GROUP**

	Restructuring & site restoration Shs'million	Service gratuity Shs'million	Long service Awards Shs'million	Total Shs'million
At start of year	-	166	15	181
Additional provisions	28	54	3	85
Utilised during the year	-	(19)	(5)	(24)
At end of year	28	201	13	242
Less: current portion	(28)	-	-	(28)
Non current portion	-	201	13	214

COMPANY

At start of year	-	164	15	179
Additional provisions	28	54	3	85
Utilised during the year	-	(19)	(5)	(24)
At end of year	28	199	13	240
Less: Current portion	(28)	-	-	(28)
Non-current portion	-	199	13	212

26 TRADE AND OTHER PAYABLES

	GROUP		COMPANY	
	2004 Shs'million	2003 Shs'million	2004 Shs'million	2003 Shs'million
Trade payables	585	428	501	343
Accrued expenses	639	501	458	305
Other payables	137	90	47	57
Amounts due to related companies (Note 31)	67	59	67	27
	1,428	1,078	1,073	732

27 BORROWINGS

The borrowings are made up
as follows:

Bank overdraft	93	412	-	-
Short term bank loan	116	-	-	-
	209	412	-	-

The weighted average interest rates incurred on borrowing facilities during the year were:

	GROUP		COMPANY	
	2004	2003	2004	2003
- bank overdrafts – local currencies	16%	16%	-	-
- bank loans – local currencies	11%	11%	-	-

In the opinion of directors the carrying amounts of the loans approximate to fair value. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rates that directors expect would be available to the group at the balance sheet date.

27 BORROWINGS (CONTINUED)

Borrowing facilities

The group has the following undrawn borrowing facilities:

	GROUP		COMPANY	
	2004	2003	2004	2003
	Shs'million	Shs'million	Shs'million	Shs'million
Floating rate				
- expiring within one year	1,194	697	705	457
- expiring beyond one year	41	46	41	46
	1,235	743	746	503

The borrowing facilities are annual facilities that were subject to review at various dates during the year 2004. They consist of overdrafts, letters of credit and guarantees. Of the amounts shown above Sh 337 million (2003: Sh 324 million) relates to guarantees given on behalf of the company by its bankers to third parties in the normal course of business.

28 CONTINGENT LIABILITIES

	GROUP	
	2004	2003
	Shs'million	Shs'million
Guarantees to our bankers in favour of staff	94	108
Bonds by our bankers in favour of Kenya Revenue Authority	337	324
Tax demand to Uganda Revenue Authority	295	-
	726	432

The guarantees issued by our bankers in favour of the Kenya Revenue Authority are part of our bank facilities and are issued in the normal course of business.

The demand by Uganda Revenue Authority (URA) was received in January 2005. Initial investigation and discussion with URA indicates that there was an error in the computation of custom duty by URA and hence the liability is unlikely to crystallise.

29 CAPITAL COMMITMENTS

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

	GROUP	
	2004	2003
	Shs'million	Shs'million
Property, plant and equipment	8	22

Capital expenditure authorised but not contracted for at the balance sheet date:

	GROUP	
	2004	2003
	Shs'million	Shs'million
Property, plant and equipment	668	376

30 CASH GENERATED FROM OPERATIONS

Reconciliation of profit before tax to cash generated from operations:

	GROUP	
	2004	2003
	Shs'million	Shs'million
Profit before tax	2,786	1,742
Adjustments for:		
Depreciation (note 11)	680	673
Amortisation of intangible assets (note 13)	40	58
(Profit)/loss on disposal of property, plant and equipment	(66)	34
Impaired assets written down	17	-
Profit on sale of equity investments	(27)	(13)
Interest income (note 7)	(18)	(5)
Dividend income (note 7)	(46)	(15)
Interest expense (note 7)	53	82
Provision for permanent diminution of an investment	-	1
Amortisation of goodwill (note 17)	50	50
	3,469	2,607
Changes in working capital balances		
- inventories	(88)	(7)
- trade and other receivables	25	(55)
- provisions for liabilities and charges	61	5
- trade and other payables	294	269
Cash generated from operations	3,761	2,819

31 RELATED PARTIES

The ultimate parent of the group is Lafarge SA, incorporated in France. There are other companies which are related to Bamburi Cement Limited through common shareholdings or common directorships.

In the normal course of business the group sells cement to an associate of its ultimate shareholder. These sales represented approximately 13% of the group's sales volume during the year (2003: 12%).

The company receives technical assistance from the majority shareholder, which is paid for under a five year agreement.

The following transactions were carried out with related parties during the year.

	GROUP	
	2004	2003
	Shs'million	Shs'million
Sales of goods and services	525	473
Purchases of goods and services	238	202

Sales and purchases to/from related parties were made on terms and conditions similar to those offered to major customers or available from major suppliers.

31 RELATED PARTY TRANSACTIONS (CONTINUED)

Outstanding balances arising from sale and purchase of goods/services at the year end.

	GROUP		COMPANY	
	2004 Shs'million	2003 Shs'million	2004 Shs'million	2003 Shs'million
Receivables from related parties	200	185	200	185
Receivables from subsidiaries	-	-	280	293
	200	185	480	478
Payables to related parties	67	59	67	27
Short term cash deposits	222	-	181	-

The short term deposits are held with the principal shareholder's central treasury department at terms similar to those offered by other financial institutions.

GROUP	
2004 Shs'million	2003 Shs'million

32 OPERATING LEASE COMMITMENTS

Lease payments committed under operating leases:

Not later than 1 year	8	7
Later than 1 year but not later than 5 years	51	55
	59	62



LAFARGE GROUP OF COMPANIES

LAFARGE IN BRIEF

Bamburi Cement Limited is a subsidiary of Lafarge. World leader in building materials, Lafarge holds top ranking positions in each of its four Divisions: Number one worldwide in Cement and Roofing, number two in Aggregates and Concrete and number three in Gypsum.

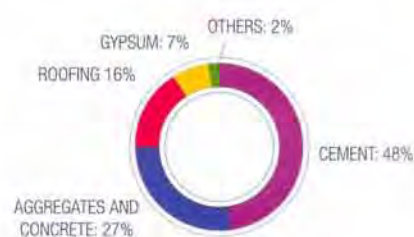
In 2004, with 77,000 employees, the Lafarge Group is present in 75 countries. Its sales for 2004 amounted to € 14,436 million and operating profit on ordinary activities of € 2,124 million.

Lafarge places the customer at the heart of its preoccupations. It offers the construction industry and the general public innovative solutions bringing greater safety, comfort, and quality to their everyday surroundings. Lafarge offers all construction industry sectors – from architect to tradesman, from distributor to end user – a comprehensive range of products and solutions for each stage of the building process.

BREAKDOWN OF 2004 SALES BY DIVISION



EMPLOYEES BY DIVISION



WORLDWIDE PRESENCE

THE CEMENT DIVISION WORLDWIDE

The Cement Division benefits from a thriving international presence. Cement Division companies operate in 43 countries. Lafarge has 117 cement factories and 24 grinding mills throughout the world.



The Cement Division worldwide

CEMENT DIVISION

Over the last few years, the Division has carried out a number of small and medium size acquisitions all over the world. In five years, the Division has doubled in size and is now present in 49 countries with 2 newly joined Business Units in

Vietnam and in Ecuador in 2004. Currently, the Cement Division conducts 47% of the Group operations in emerging countries with strong growth prospects. [consolidated and non-consolidated countries]

CEMENT DIVISION AT A GLANCE

SALES 2004

€ 6,810 million

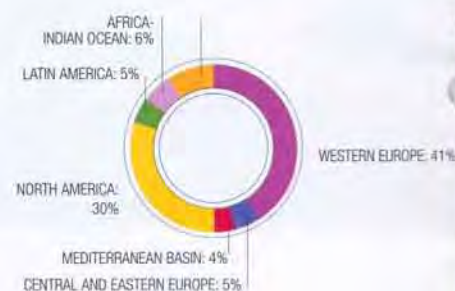
WORKFORCE 2004

38,202 employees

INTERNATIONAL SCOPE

138 production sites in 43 countries (*)
Consolidated companies at 12/31/2004

SALES BY GEOGRAPHICAL AREA



EMPLOYEES BY GEOGRAPHICAL AREA





AFRICA HIGHLIGHTS 2004

SALES

€ 944 million

WORKFORCE

5,662 employees in the region,

AFRICA SCOPE

- 13.9% of total cement sales of the Lafarge Group.
- There are 10 countries in the Sub-Saharan Africa region with manufacturing capacity and 10 export countries.
- 12 production plants and 4 grinding stations

LAFARGE IN AFRICA

GEOGRAPHICAL EXPANSION

Lafarge's entry into the Africa market has been marked by rapid growth in the last 18 years. This growth has been carried out in through in three phases: The first stage was in trading development with two entries; Cameroon in 1985 and Kenya in 1989 with the

acquisition of Cementia, then owner of Bamburi Cement Ltd. The second stage was with the opportunistic acquisitions of Blue Circle, South Africa in 1998 and Hima Cement, Uganda in 1999. The third stage has involved the creation of the Africa Region through establishment in Nigeria, Tanzania, Zambia and Zimbabwe in 2001.

With the above acquisitions, Lafarge Africa has doubled its cement capacity over the last few years with capacity increasing from 2,000 metric tons in 1989 to 12,000 metric tons in 2004.



Top to bottom: Green schools project, voluntary testing in Mombasa, peer educators in Zambia.

COMMUNITY ATTITUDES TOWARDS THE VCT

"Hima Town Council Community appreciates the efforts of Hima Cement towards the establishment of VCT services in Hima. This has given an opportunity to both couples and individuals who had not yet taken the initiative of knowing their status, and those who saw it expensive to go to Kilembe, St Paulo's health centre etc for testing."

Hima Youth Development Association

PROVISION TO HIMA PRIMARY SCHOOL FROM HIMA SANITARY

"All the classrooms and administrative offices plus the furniture in classrooms provided by Hima Cement Ltd for 17 classrooms. Currently 2 new classrooms have been completed but not yet furnished. One of them is supposed to be a library."

*Headmaster
Hima Primary School*

COMMENT FROM THE COMMUNITY (VCT CLIENTS)

The community appreciates the VCT services facilitated by Hima Cement Ltd. When the facility was introduced the community received it with a lot of doubt and mistrust. With time, trust in the service provider has been built and the turn up to the center continues to grow.

*Ssetuba Zainabu
VCT counselor & supervisor*

The Secretary,
Bamburi Cement Ltd.
Corporate Offices
6th floor, Kenya-Re Towers,
Upper Hill, off Ragati Road
P O Box 10921,
00100 NAIROBI,
Kenya.

I/We

of

a member of Bamburi Cement Limited hereby appoint

of

or in his/her place THE CHAIRMAN OF THE MEETING as my/our proxy and/or representative, to vote at his/her discretion for me/us and on my/our behalf at the Annual General meeting, to be held on Wednesday 8th June 2005 and at every adjournment thereof.

AS WITNESS my/our hand(s) this _____ day of _____ 2005.

(Usual signature)

Proxy forms must reach the registered Office of the company by 5.00 pm Monday 6th June 2005.

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1 Cut here

Proxy form:

for the year ended 31 December 2004

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Affix stamp

The Secretary
Bamburi Cement Ltd.
Corporate Offices
6th floor, Kenya-Re Towers,
Upper Hill, off Ragati Road
P O Box 10921 00100 NAIROBI
Kenya

1 Cut here

